INTERCONNECTION AGREEMENT

entered into by the

ENTERGY GULF STATES LOUISIANA, LLC
and
CALCASIEU POWER, LLC

INTERCONNECTION AND OPERATING AGREEMENT

THIS INTERCONNECTION AND OPERATING AGREEMENT (the "Agreement") is made this 6th day of April, 2000 by and between Calcasieu Power, LLC, a limited liability company existing under the laws of the State of Delaware, sometimes hereinafter referred to as "Customer," and Entergy Gulf States, Inc., a corporation organized and existing under the laws of the State of Texas, sometimes hereinafter referred to as "Company." Customer and Company are referred to individually as a "Party" and collectively as the "Parties."

WITNESSETH:

WHEREAS, Customer intends to construct, own and operate the Facility for the generation and sale of electric energy for resale in Sulphur, Parish of Calcasieu, Louisiana; and

WHEREAS, the Facility is located near the transmission facilities of Company; and

WHEREAS, Customer has requested and Company has agreed to enter into an interconnection agreement with Customer in order to facilitate access to the Company's transmission system;

NOW THEREFORE, in consideration of and subject to the mutual covenants contained herein, it is agreed:

ARTICLE I - DEFINITIONS

Whenever used in this Agreement, Appendices and attachments hereto, the following terms shall have the following meanings:

Affected Party - shall have the meaning given to it in Section 3.2.c of this Agreement.

Affiliate – With respect to a Party, any other person or entity (other than an individual) that, directly or indirectly through one or more intermediaries controls, is controlled by, or is under common

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

control with, such person or entity. For purposes of the foregoing definition, "control" means the direct or indirect ownership of five percent (5%) or more of the outstanding capital stock or other equity interests of the entity having ordinary voting power.

Company – Entergy Gulf States, Inc., a corporation organized and existing under the laws of the State of Texas.

Company Interconnection Facilities – Those certain facilities presently in place or presently proposed to be installed on Company's side of the Point of Interconnection, which facilities are required to interconnect the Customer Interconnection Facilities to Company's Transmission System and were installed or will be installed by Customer at Customer's expense, but will be owned, operated and maintained by Company, but at Company's expense, and which facilities are set forth in Appendix A of this Agreement. Company Interconnection Facilities shall not include upgrades or improvements made or proposed to be made to serve facilities other than the Facility, customers other than Customer or to expand or improve the Company's Transmission System.

Company's Non-Utility Generator Interconnection Requirements – The Company's Non-Utility Generator Interconnection Requirements Standard attached hereto as Appendix E.

Company's Transmission System – The transmission facilities owned by Entergy Gulf States, Inc. and included within the provisions of the Company's Open Access Transmission Tariff on file with the Federal Energy Regulatory Commission.

Customer Interconnection Facilities – All facilities required to interconnect the Facility to Company's Transmission System to be installed, owned, operated and maintained by Customer, at Customer's expense, on Customer's side of the Point of Interconnection, and which facilities are set forth in Appendix A of this Agreement.

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

Emergency - a condition or situation that in the sole reasonable judgment of Company (1) presents an imminent physical threat of danger to life, or threat to health or property or (2) could cause a disruption on or damage to Company's Transmission System or the facilities of other entities to which Company's Transmission System is directly or indirectly connected; provided, however that the inability of Company to meet its load requirements because of insufficient generation resources shall not constitute an Emergency.

Facility – The proposed Customer owned 348 MW electric generation facility which is to be located in Sulphur, Parish of Calcasieu, Louisiana.

FERC – The Federal Energy Regulatory Commission and any successor(s) to its authority.

Generator Imbalance Service – Resources available to Customer, within Company's control area that are capable of supplying, in real time, any deviations between Customer's generation schedules and the actual deliveries of electricity to Company's Transmission System by Customer.

Good Utility Practice - shall mean any of the practices, methods and acts engaged in or approved by a significant proportion of the electric utility industry during the relevant time period, that, at a particular time and in the exercise of reasonable judgment in light of the facts known at the time the decision was made, could have been expected to accomplish the desired result at the lowest reasonable cost consistent with reliability, safety and expedition and in compliance with law, regulations, codes, standards, and equipment manufacturer's recommendations. Good Utility Practice is not intended to be limited to the optimum practice, method or act to the exclusion of all others, but rather to be a spectrum of acceptable practices, methods or acts.

ISO Conditions - Zero feet above mean sea level, fifty-nine (59) degrees Fahrenheit, sixty per cent (60%) relative humidity.

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

Lagging Power Factor – The Power Factor when current lags voltage making the circuit inductive and a generator is therefore producing vars.

Leading Power Factor – The Power Factor when current leads voltage making the circuit capacitive and a generator is therefore absorbing vars.

Lender – Any entity or entities providing financing for the Facility, including any assignee or successor thereto, and its directors, officers, agents and employees.

Metering Point – the location(s) of metering equipment necessary to meet the Parties' obligations under this Agreement, as shown in Appendix A.

MW – megawatt.

NERC - The North American Electric Reliability Council, or any successor agency assuming or charged with similar responsibilities related to the operation and reliability of the North American interconnected electric transmission grid.

OATT – A FERC approved Open Access Transmission Tariff.

Operation Date - The day commencing at 00:01 hours, following the day during which Customer Interconnection Facilities have been completed to Company's and Customer's mutual satisfaction pursuant to the requirements of this Agreement and energized in parallel operation of Company's and Customer's systems as confirmed in writing.

Point of Interconnection - The point, shown in Appendix A, where the Customer Interconnection Facilities interconnect with the Company's Transmission System.

Power Factor – The number equal to cosine theta where theta is the angle of impedence between voltage and current.

SERC - The Southeastern Electric Reliability Council, or any successor agency assuming or

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

charged with similar responsibilities related to the operation and reliability of the southeastern portion of the North American interconnected electric transmission grid.

System Protection Facilities - The equipment required to protect (1) Company's Transmission System and its customers from faults occurring at Customer Interconnection Facilities or the Facility, and (2) Customer Interconnection Facilities or the Facility from faults occurring on Company's Transmission System or on the systems of others to which Company's Transmission System is directly or indirectly connected.

System Upgrades - Those upgrades or improvements to Company's existing transmission system as specified in Appendix B that are necessary to interconnect the Facility to Company's Transmission System. System Upgrades shall not include upgrades or improvements made or proposed to be made to serve facilities other than the Facility, customers other than Customer or to expand or improve the Company's Transmission System.

ARTICLE II - TERM OF AGREEMENT

2.1. This Agreement shall be binding upon execution, shall remain in effect for a term of thirty-five (35) years from the Operation Date, and shall renew thereafter for succeeding five (5) year terms; provided, that during or with respect to any renewal term either Company or Customer may terminate this Agreement by giving at least one (1) year's written notice to the other conditioned upon such termination being consistent with applicable law and regulation.

2.2. If at any time prior to the Operation Date Customer notifies Company that it has elected not to proceed with the development, construction or installation of the Facility, then upon receipt of such notice Company shall discontinue further work with respect to the engineering, procurement, construction and/or installation of the Company Interconnection Facilities and System Upgrades,

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

provided, however, that Company shall complete or undertake, at Customer's expense, that work, if any, necessary to return Company's Transmission System to a condition in which it can be operated in a reliable manner and in accordance with Good Utility Practice. Customer shall reimburse Company, in accordance with Section 5.3, for the actual and documented costs incurred by Company in connection with such engineering, procurement, construction and/or installation prior to Customer's notice to discontinue further work and in completion of that work, if any, necessary to return Company's Transmission System to a condition in which it can be operated in a reliable manner and in accordance with Good Utility Practice. Upon such reimbursement, Company shall transfer to Customer all materials and equipment for which Customer has made payment and which have not otherwise been used or installed in connection with the construction and/or installation of the Company Interconnection Facilities and System Upgrades and completion of that work, if any, necessary to return Company's Transmission System to a condition in which it can be operated in a reliable manner and in accordance with Good Utility Practice.

ARTICLE III - CONSTRUCTION

3. 1. Land Rights. Customer agrees to furnish at no cost to Company all necessary rights of way upon, over, under, and across lands owned or controlled by Customer and/or its Affiliates for the construction and operation of the Company Interconnection Facilities and System Upgrades pursuant to this Agreement, if any, in locations as mutually agreed to by Company and Customer and in locations such as not to interfere with the facilities or operations of Customer and its Affiliates, and Customer shall, at all reasonable times, give Company, or its agents, free access to such rights of way. Customer grants to Company at all reasonable times, upon prior reasonable notice (except in an emergency situation), the right of free ingress and egress to Customer's premises or its Affiliate's to the

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

extent necessary for the purpose of (a) installing, testing, reading, inspecting, repairing, operating, altering or removing any of the Company Interconnection Facilities and/or System Upgrades located on Customer's premises, (b) for such other purposes as necessary to enable Company to receive electric energy or suspend the receipt thereof from Customer's Facility pursuant to the terms of this Agreement, or (c) determine Customer's compliance with this Agreement. If any part of the Company Interconnection Facilities or System Upgrades are to be installed on property owned by other than Company or Customer, Customer shall, if Company is unable to do so without cost to Company, procure from the owners thereof all necessary permanent rights of way and easements, in a form satisfactory to Company, for the construction, operation, maintenance and replacement of the Company Interconnection Facilities or System Upgrades. In the event Customer is unable to secure such rights of way and easements, Customer shall reimburse Company for all costs incurred by Company in securing such rights by condemnation proceedings or other means. In connection with Company's exercise of rights under this Section 3.1, while on Customer's or its Affiliates' premises, Company's personnel and agents shall exercise such rights in a manner so as not to interfere with the facilities or operations of Customer or its Affiliates, and shall comply with all applicable safety rules or regulations of Customer that are communicated in writing by Customer to Company and any safety instructions communicated to Company's personnel either verbally or in writing while they are on Customer's or its Affiliates premises. Company currently expects to install all System Upgrades on Company property, rights of way, or easements. If it becomes necessary to install any part of the System Upgrades on property owned by others than Company, Company shall notify Customer of such additional property requirements as soon as practicable.

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

3.2. Facility and Equipment Design and Construction

a. Unless Customer provides notice pursuant to Section 2.2. hereof of its intent not to proceed with the development, construction or installation of the Facility, Customer shall be obligated to design, construct, install, own, operate and maintain the Customer Interconnection Facilities. The design, construction, installation, ownership, operation, and maintenance of the Customer Interconnection Facilities shall comply with the Company Non-Utility Generator Interconnection Requirements Standard and shall meet all requirements of applicable safety and/or engineering codes, and further, shall meet all requirements of any duly constituted regulatory authority having or asserting jurisdiction over such facilities, as specified by Company pursuant to this Section 3.2. However, in instances where the Company Non-Utility Generator Interconnection Requirements Standard is inconsistent with and/or conflicts with the provisions of this Agreement, the terms and/or provisions of this Agreement will be controlling in determining the parties' rights and obligations. The Facility shall meet all requirements of applicable law including any safety or other codes required by any duly constituted regulatory authority having jurisdiction.

b. Each Party agrees to make changes to the facilities on its respective side of the Point of Interconnection at its own cost as may be reasonably required to cause such facilities to meet the standards set forth in this Agreement in response to (i) changes in law or regulation, or (ii) changes in Company's Transmission System required to maintain reliability and/or safety of Company's Transmission System. Each Party agrees to give the other Party sufficient advance written notice of the time such changes to the other Party's facilities are to be completed to allow a reasonable opportunity for the other Party to accomplish the necessary changes. Contemporaneous with such notice, the Party shall supply complete engineering information and specifications to the other Party for

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

use in determining what changes will be necessary to the facilities on the other Party's side of the Point of Interconnection. The other Party shall have the right to provide comments with respect to such specifications, and each Party agrees to reasonably consider and accommodate the other Party's comments or suggested revisions.

c. Company shall design, permit, install, operate, maintain and own the System Upgrades. The System Upgrades shall be designed and constructed at Customer's expense. Company's design for the System Upgrades shall not contain or reflect any areas of real property not necessary for the interconnection of the Customer Interconnection Facilities and Company's Transmission System. In the event that Company's design for the System Upgrades contain or reflect any facilities, equipment or components not necessary for the interconnection of the Customer Interconnection Facilities and Company's Transmission System, Company shall be responsible for and pay any difference in costs or expenses, including, but not limited to construction costs and expenses, between those facilities, equipment or components necessary for the interconnection of the Customer Interconnection Facilities and Company's Transmission System and those facilities, equipment or components contained or reflected in Company's design for the System Upgrades. Company shall provide Customer with a project description, estimated project cost, and proposed schedule for the design and construction of the System Upgrades pursuant to the standards set forth in this Agreement (including the date for completion of such facilities set forth in this Section 3.2.c below) no later than thirty (30) days after execution of this Agreement. Company shall provide Customer with its best estimate of any revisions to such description, budget and schedule (provided that the scheduled date for completion shall be no later than April 20, 2000 for the design and construction of the System Upgrades) within thirty (30) days after execution of this Agreement. Company understands that time is

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

of the essence in the construction of such facilities and Company shall use reasonable efforts to complete construction of the System Upgrades by April 20, 2000. Company shall timely advise Customer of alternatives it identifies to reduce the scheduled time for such construction by the payment of additional costs or otherwise. Company shall promptly provide Customer with any material revisions in such description, budget or schedule, but in any event, no less than thirty (30) days prior to initiating any work covered by such revision. Customer shall within fifteen (15) days after receipt provide Company with any comments or proposed revisions to such description, or budget, or schedule estimate. Company shall use reasonable efforts to address and accommodate the comments received from Customer pursuant to this Section 3.2.c, provided that Company shall reserve the final judgment with respect to any such matters, which judgment shall be reasonably exercised by Company. Company shall not commence detailed design or construction of any System Upgrades prior to receiving written authorization to proceed from Customer. Company shall use due diligence and take all reasonable actions necessary to complete and place in service, or cause to be completed and placed in service, the System Upgrades on or before April 20, 2000, or such earlier date as set forth in Company's schedule provided under this Section 3.2. Company shall be reimbursed by Customer for all reasonable costs incurred by Company in performing its work under this Section 3.2.c. as provided in Section 5.3. If Customer reasonably determines that Company is failing to use due diligence to complete the System Upgrades pursuant to the detailed design and schedule provided under this Section 3.2, Customer may provide Company with written notice of its determination setting forth in reasonable detail the actions necessary to cure such failure. If, within thirty (30) days after such notice, Company fails to provide Customer with reasonably satisfactory evidence that it has cured such failure, Customer may, upon ten (10) days' notice to Company, cause the remaining work to be completed in

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

accordance with the design specifications and standards for such work prepared by Company pursuant to this Agreement by an independent contractor selected from the list provided by Company attached hereto as Appendix D, which Appendix is by this reference made a part hereof. Notwithstanding that Customer shall be responsible for paying the independent contractor for completion of the System Upgrades pursuant to this Section 3.2.c, such completion by Customer shall be without prejudice to any other remedies it may have with respect to Company's failure to use due diligence to complete the System Upgrades. Company shall cooperate reasonably with Customer to facilitate the transfer of responsibility for work subject to Customer's exercise of such right, provided that Company shall oversee and supervise all such remaining work performed by the independent contractor, and provided further that Customer agrees to and shall release Company from, and indemnify Company against, any obligations, liabilities, or warranties arising from or related to the work performed by such independent contractor.

d. The Company shall cause the construction of the System Upgrades consistent with all applicable laws and regulations (including any safety or other codes) of any authority having jurisdiction; consistent with the procedures, practices and standards routinely employed by the Company with respect to its construction of its own comparable facilities; and in accordance with Good Utility Practice, including without limitation, any applicable bidding or other cost control procedures. At Customer's request, Company shall provide Customer with a cost accounting setting forth in reasonable detail the expenditures for all necessary facilities and materials comprising the System Upgrades, and any supporting materials evidencing such expenditures.

e. This Agreement is not an agreement between Company and Customer for the provision by Company of transmission service, and Customer (or Customer's power purchaser(s)) will

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

be responsible for arranging all transmission service necessary for deliveries from the Facility across Company's Transmission System.

f. With respect to changes in Customer's requirements related to interconnection with Company's Transmission System that would not be subject to and handled under Company's then current OATT, at Customer's request, Company shall use due diligence and shall cooperate in good faith to determine what, if any, modifications to the Parties' facilities are required to accommodate a change in Customer's requirements related to interconnection with Company's Transmission System.

h. Testing.

(i) Testing of System Upgrades. Company shall conduct all functional testing and commissioning activities for the System Upgrades as set forth in this Section 3.2.h. Commissioning testing requires a complete functional test of all systems associated with the safe and reliable operation of the System Upgrades. Prior to initial energization, the following systems require complete functional tests to verify their operation: Communications (both locally and at remote locations); Relay and Control (both locally and at remote locations); Telemetry (both locally and at remote locations); Metering (locally); Power circuit breakers (locally); and Station auxiliary service (locally). Prior to functional testing, thorough inspection of all components to be energized shall be conducted to assure their reliable operation once voltage has been applied. Phase agreement shall be inspected visually, and once energized confirmed via voltage measurement. Final commissioning shall consist of sequential energizing of various portions of the System Upgrades until all of the System Upgrades are energized. Upon such

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

complete energization, those portions of the System Upgrades which could not be adequately tested in the de-energized state shall undergo functional testing to verify their proper operation. Prior to the energizing of any component of the System Upgrades, Customer reserves the right to inspect and witness any necessary proof testing of any portion of the System Upgrades which could adversely impact operation of Customer's Interconnection Facilities or the Facility. Should any unusual condition or test result create a concern on the part of Customer, Customer reserves the right to require resolution prior to energization of the System Upgrades. Following the conclusion of successful commissioning and testing procedures as set forth above with respect to the System Upgrades, Company shall notify Customer and promptly thereafter, Company and Customer shall inspect the System Upgrades and review any appropriate documentation, and shall identify any outstanding items which may require additional attention by either or both of the Parties. Upon completion of such outstanding items which are necessary for the System Upgrades, Company shall notify Customer of the in-service dates for the System Upgrades (i.e., the date upon which such are tested and ready for operation up to their maximum design rating).

(ii) Functional Testing of Customer Interconnection Facilities. Prior to the energizing of any component of the Customer Interconnection Facilities, Company reserves the right to inspect and witness any necessary proof testing of any portion of the Customer Interconnection Facilities which could adversely impact operation of

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

Company's Transmission System. This shall include but not be limited to: (i) the Customer Interconnection Facilities; (ii) all protective relay and control schemes between the generator breakers and Company's Transmission System; (iii) all telemetry / data collection systems which would provide pertinent data back to Company's transmission control center; and (iv) all metering installations. Should any unusual condition or test result create a concern on the part of Company, Company reserves the right to require resolution prior to energization of the Customer Interconnection Facilities.

(iii) Testing of Facility. Prior to the start of any functional testing activity, the Facility shall be properly commissioned and made ready for service. Facility commissioning requirements should address safe and reliable operation of all generator step-up transformers as well as the Facility's auxiliary power system. Prior to the start of any functional testing of the Facility, coordination with Company's Transmission System coordinator will be required, including the scheduling of any electric energy output. During functional start-up and testing of any generation unit, should Customer desire any special switching of Company's Transmission System to mitigate any exposure the Facility might have from, or impact it might have on, the Company's Transmission System, a request for such switching shall be made by Customer. This request must be received by Company no later than three (3) days prior to the week when such switching will be required. Company shall accommodate such request if, in its reasonable judgment, such action will not adversely affect the Company's

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

Transmission System or service to Company's other customers.

3.3 Metering. Customer shall provide and install, and Company shall own and maintain metering equipment necessary to meet the obligations in this Agreement. If necessary, metering shall be either located or adjusted, at Company's option, in such manner to account for any transformation or interconnection losses. Metering quantities, in digital form, will be provided to Customer in real time. All costs associated with either the initial installation of metering, as more fully described in Appendix C hereto, a copy of which is attached and made a part hereof, or any changes to metering requested by Customer shall be borne by Customer. Customer shall provide, install, own and maintain metering necessary to meter the output of the Facility's generation.

ARTICLE IV - OPERATION

4.1. Operations. Upon completion, testing and acceptance of the Customer Interconnection Facilities, the Company Interconnection Facilities and the System Upgrades pursuant to Section 3.2. of this Agreement, and subject to the other terms and conditions of this Article IV, Company shall operate and maintain the Company Interconnection Facilities and the System Upgrades in accordance with Good Utility Practice and all applicable laws and regulations. In the event that the System Upgrades are not completed by the date upon which Customer wishes to synchronize the Facility with Company's Transmission System, Customer shall nonetheless be allowed to synchronize the Facility and deliver energy to Company's Transmission System, but only to the extent, as determined by Company in its reasonable judgment, Company's Transmission System can accept such energy.

4.2. Reliability. The Company and Customer agree that the implementation of this Agreement shall comply with the then existing (or amended) manuals, standards, and guidelines of the

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

NERC and/or SERC. To the extent that this Agreement does not specifically address or provide the mechanisms necessary to comply with such NERC or SERC manuals, standards, or guidelines, the Company and Customer hereby agree that each Party shall provide to the other Party all such information as may reasonably be required to comply with such manuals, standards, or guidelines and shall operate, or cause to be operated, their respective facilities in accordance with such manuals, standards, or guidelines.

4.3 Reactive Power.

a. Voltage Schedule. Company's System Dispatcher or designated representative shall provide Customer with a voltage schedule to be maintained by Customer at the Point of Interconnection during any period that one or more of the Facility's generating units are synchronized with Company's Transmission System and Customer is delivering electric energy to Company at the Point of Interconnection ("Voltage Schedule") as follows:

(i) Except (a) in an Emergency, or (b) with the prior consent of both Company and Customer, the Voltage Schedule shall be in effect for the following ninety (90) day period;

(ii) The Voltage Schedule shall be provided to Customer not less than five (5) days prior to the start of such ninety (90) day period;

(iii) The Voltage Schedule shall not require Customer to operate any of the Facility's generating units outside of a range of between a ninety-seven percent (0.97) Leading Power Factor and a ninety-five percent (0.95) Lagging Power Factor at the Point of Interconnection ("Nominal Power Factor Range"); and

(iv) The Voltage Schedule shall be consistent with the voltage schedules prescribed

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

by Company's System Dispatcher or designated representative for other generators that are similarly situated and located in an area with similar voltage conditions (including, but not limited to, Company's generators) on Company's Transmission System. Records of request made by the Company Dispatcher, and records indicating actual responses to these requests, will be maintained by Company and subject to third party independent audit at Customer's request and expense. Any such request for an audit will be presented to Company by Customer no later than twenty-four (24) months following a request by the Company Dispatcher that the Facility produce its maximum available reactive power output.

b. Under normal operating conditions, Customer shall operate the Facility to maintain a voltage schedule at the Point of Interconnection as prescribed by the Company's System Dispatcher or designated representative The Facility power factor design limitations shall have reactive power capability sufficient to maintain at the Point of Interconnection a power factor between 0.97 leading and 0.95 lagging. In the event that, under normal operating conditions, the Facility does not maintain at the Point of Interconnection a power factor between 0.97 leading and 0.95 lagging, Customer shall take other steps, such as the installation of static and/or dynamic reactive power compensating devices, required to achieve the prescribed power factor.

c. During an Emergency on the Company Transmission System or during an Emergency declared by an adjacent system dispatcher or authorized independent system operator, Company's System dispatcher or designated representative has the authority to request Customer to redispatch the MVAR output of the Facility's generating units (which may result in the redispatch of the

MW output of the Facility) then synchronized with Company's Transmission System and delivering electric energy to Company at the Point of Interconnection into the Entergy system during the period that Customer has scheduled deliveries of electric energy to Company at the Point of Interconnection in order to maintain system security, provided, however, all such requests for redispatch shall be requested on a non-discriminatory basis with all other generators connected directly or indirectly to Company's Transmission System, recognizing that an Emergency may be localized and require redispatch only within the local area affected by the Emergency. So long as honoring such request will not threaten imminent harm to persons, property or the Facility, the Facility operator will honor such request within the design limitations of the Facility's generating units then synchronized with Company's Transmission System, such that the security of the Company's Transmission System is maintained. Company shall restore conditions to normal as quickly as possible to alleviate any such Emergency and eliminate any such redispatch.

d. Voltage Support Compensation. Company agrees that Customer, by providing reactive support and voltage control pursuant to this Section 4.3, provides value to Company's Transmission System. Company further agrees to compensate Customer for providing such reactive support and voltage control service as follows:

i. In the event that the FERC, or any other applicable regulatory authority, issues an order or approves a tariff establishing specific compensation to be paid to Customer for reactive support and voltage control service, Company shall pay Customer pursuant to such order or tariff; or

ii. In the absence of such an order or tariff, and subject to any applicable rules and regulations of FERC, Company shall pay Customer an amount equal to the

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

charges required to be paid under Rate Schedule 2 (Reactive Supply and Voltage Control from Generation Sources Service) of Company's OATT to reflect the contribution to reactive supply and voltage support from generation sources made by the Customer; provided, however, Customer shall be compensated for providing such reactive support and voltage control service at a rate that is equal to the highest rate Company, its successors and assigns pay for reactive power and voltage control to any other similarly situated generator.

e. Without limiting the rights and obligations set forth in this Section 4.3, Customer shall maintain all rights to sell generation from its facilities as Ancillary Services, as defined by FERC Order 888, and similar orders. Company or its affiliates may purchase such Ancillary Services from Customer, to the extent allowed, but Company shall have no rights absent Customer's agreement to utilize Customer's Facility for meeting Company's, or its affiliates, Ancillary Services obligations.

4.4. Protection. It shall be Customer's obligation, at its expense, to install or have installed and keep operative System Protection Facilities, including such protective and regulating devices as are identified by order, rule or regulation of any duly constituted regulatory authority having jurisdiction, or as are otherwise necessary to protect personnel and equipment and to minimize deleterious effects to Company's system, all in accordance with the provisions of this Agreement and as specified pursuant to Section 3.2. Any such protective or regulating devices that may be required for the System Upgrades shall be installed by Company at Customer's expense pursuant to this Agreement. In such event, Company shall furnish to Customer a detailed description and its preliminary estimate of the itemized expected budget for such protective and regulatory devises, and supporting documentation

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

for the necessity therefor and any expenditures in connection therewith.

a. Requirements for Protection. Customer shall provide relays, circuit breakers, and all other devices necessary to promptly remove any fault contribution of Customer's generating equipment to any short circuit occurring on Company's Transmission System not otherwise isolated by Company equipment. Such protective equipment shall include, without limitation, a disconnecting device or switch with load interrupting capability to be located between Facility and the Company's Transmission System at the point specified in Appendix A hereto or such other accessible, protected, and satisfactory site selected upon mutual agreement of the Parties. Customer shall be responsible for protection of the Customer Interconnection Facilities and the Facility from such conditions as negative sequence currents, over- or under-frequency, sudden load rejection, over-or under-voltage, and generator loss-of-field. Customer shall be solely responsible for provisions to disconnect its generation when a disturbance on the Company's Transmission System results in Customer's generation becoming isolated from Company's Transmission System.

b. Inspection. Company shall have the right, but shall have no obligation or responsibility to (i) observe Customer's tests and/or inspection of any of Customer Interconnection Facilities including any System Protection Facilities maintained by Customer; (ii) review the settings of Customer's System Protection Facilities; and (iii) review Customer's maintenance records relative to the Customer Interconnection Facilities, including any System Protection Facilities. The foregoing rights may be exercised by Company from time to time as deemed necessary by the Company upon reasonable notice to Customer. However, the exercise or non-exercise by Company of any of the foregoing rights of observation, review or inspection shall be construed neither as an endorsement nor confirmation of any aspect, feature, element, or condition of Customer Interconnection Facilities or the

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

operation thereof, nor as a warranty as to fitness, safety, desirability, or reliability of same.

4.5 System Quality.

a. Voltage. Customer's Facility and equipment shall not cause excessive voltage excursions nor cause the voltage to drop below or rise above the extents of the range maintained by Company without Customer's generation. Customer's Facility and equipment shall not cause excessive voltage flicker nor introduce excessive distortion to the sinusoidal voltage or current waves as defined by ANSI Standard C84.1-1989, or any applicable superseding electric industry standard. For voltage flicker in the frequency range of 1 to 25 Hz, voltage flicker levels are unacceptable if either of the following conditions exist: (a) the cumulative RMS voltage flicker at the Point of Interconnection exceeds 0.30% for 1.0% of a representative time period, or (b) the instantaneous voltage flicker level regularly exceeds 0.45% at the Point of Interconnection (this is approximately equal to a cumulative RMS voltage flicker of 0.45% for 0.01% of a representative time period).

b. Power Factor Requirements - The generating units at Customer's Facility shall be rated, at ISO Conditions and at the low voltage side of the generator step-up transformer, to operate with as low as a 85% Lagging Power Factor in control of low voltage and as high as a 95% Leading Power Factor in control of high voltage. Under no circumstances shall Customer be required to operate any of the generating units at Customer's Facility outside the Power Factor requirements set forth in this Section 4.5.b, whether to deliver electric energy onto Company's Transmission System, to maintain voltage at the Point of Interconnection, to provide reactive support to Company's Transmission System or otherwise.

4.6 Redispatch.

a. Emergency Redispatch. If one or more generating units of the Facility are

synchronized to the Company's Transmission System during an Emergency, Company's dispatcher or its designated representative may orally, or in writing, notify Customer's operator and, if so requested by Company, Customer's operator shall, during the period that Customer has scheduled deliveries of electric energy to Company at the Point of Interconnection, place the levels of energy capable of being generated by such units within the exclusive control of Company's dispatcher or its designated representative for the duration of such Emergency; and Company's dispatcher or designated representative may require Customer's operator to raise or lower production of energy generated by such units to maintain safe and reliable load levels and voltages on the Company's Transmission System during such Emergency. Notwithstanding the foregoing, any changes in the level of energy capable of being generated by such units shall be implemented in a manner consistent with safe operating procedures and within the design limitations of the unit(s) and applicable laws and regulations. In the event that Company's dispatcher or designated representative shall assume control over the levels of energy pursuant to this Section 4.6.a, Company shall compensate Customer according to FERC approved rates applicable for such Emergency redispatch; provided, however, that the failure to have any such rates shall not be a basis for Customer to refuse or deny such control to Company's dispatcher or designated representative.

b. Non-Emergency Redispatch – Company agrees that, except as expressly provided in Section 4.6.a. above, Company shall not redispatch Customer's Facility, provided that this provision shall not preclude Company from implementing any NERC, FERC, or other reliability region processes, procedures, or protocols.

4.7 Sales of Test Power. If Customer elects to sell such energy generated during Facility testing to a third-party purchaser(s), Customer shall schedule such energy deliveries pursuant to the

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

scheduling procedures of Company's OATT and the provisions of Company's Generator Imbalance Service Tariff then in effect, if any, shall apply to such scheduling and delivery of energy. If Customer elects to sell such energy to Company, Customer shall not be required to schedule such energy deliveries pursuant to the scheduling procedures of Company's OATT and the provisions of Company's Generator Imbalance Service Tariff then in effect, if any, shall not apply to such delivery of energy.

4.8. Starting and Station Service Power. If the Facility will receive starting and/or station service power (for the Facility's auxiliary electrical requirements only and not for resale) from Company, such power shall be provided pursuant to a separate electric service agreement. Customer shall have the right, when permitted under state or federal law, to obtain Customer's starting and/or station service electricity requirements from a third-party supplier.

4.9. Meters. Company shall, at Customer's expense, inspect and test all Company-owned meters upon their installation and at least once every two years thereafter. If requested to do so by Customer, Company shall inspect or test its meters more frequently than every two years. If such requested inspection or test indicates that Company's meters are registering inaccurately by more than 1%, the expense of such requested inspection or test shall be borne by Company. If such requested inspection or test indicates that Company's meters are registering inaccurately by no more than 1%, the expense of such requested inspection or test shall be borne by Customer. Company shall give reasonable notice of the time when any inspection or test shall take place, and Customer may have representatives present at the test or inspection. If a meter is found to be inaccurate or defective, it shall be adjusted, repaired or replaced at Customer's expense in order to provide accurate metering. If a meter fails to register, or if the measurement made by a meter during a test is found not to be within the accuracy standards established in the most recent revision of Standard C 12.1 of the American

National Standard Institute, Incorporated, an adjustment shall be made correcting all measurements made by the inaccurate meter for:

a. the actual period during which inaccurate measurements were made, if the period can be determined, or if not,

b. the period immediately preceding the test of the meter equal to one-half the time from the date of the last previous test of the meter provided, that the period covered by the correction shall not exceed six months.

If hourly and/or daily energy readings are available and if such data are requested by Company, Customer shall report same to Company's representatives as designated by Company, by telephone, on a schedule to be agreed upon. At Customer's expense, and in accordance with Section 4.9.b and the other standards and requirements of this Agreement, Customer's output information shall be telemetered to the location specified by Company.

4.10. Control Area. Customer reserves the right to designate from time to time, but no more frequently than once each year, all, part or none of its Facility to be located in Company's control area.

4.11. Communications. To the extent communications with Company are required they shall be conducted in accordance with this Section 4.11.

a. At Customer's expense, Customer shall maintain communications equipment for providing operating communications with Company's Transmission System dispatcher or representative as designated by Company in accordance with the standards of this Agreement. Such operating communications shall include, but not be limited to, system paralleling or separation, scheduled and unscheduled shutdowns, equipment clearances, next day forecasted hourly generation levels and hourly and daily load data.

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

b. A Remote Terminal Unit ("RTU") or other communication method acceptable to both Parties shall be installed by Customer, to gather accumulated and instantaneous data from Company's meters to be telemetered to (i) the location designated by Company, and (ii) the location designated by Customer. The communication protocol for this link will be specified by Company. Instantaneous digital watt and var flow information must be telemetered directly to such locations. RTU equipment shall also be installed or modified, at Customer's expense, to gather accumulated and instantaneous data from Company's meters.

4.12. Disconnection. Company shall have the right to disconnect, without notice, the Customer Interconnection Facilities if, in the Company's reasonable opinion, a hazardous condition exists and immediate disconnection is necessary to protect persons, the Company's Transmission System, the Company Interconnection Facilities, or other customer facilities from damage caused by the Customer Interconnection Facilities and/or the Facility, or the lack of proper or properly operating Customer System Protection Facilities. For purposes of this Section 4.12., Customer System Protection Facilities may be deemed by Company to be not properly operating if Company's review under Section 4.4.b. discloses, in Company's reasonable opinion, irregular or insufficient maintenance on such devices contrary to Good Utility Practice or that maintenance records do not exist or are otherwise insufficient to demonstrate that adequate maintenance has been and is being performed in accordance with the standards under this Agreement, and Company in its reasonable discretion deems the deficiencies in such maintenance and/or maintenance records to have or to be likely to have a material adverse effect on the Company's facilities or be likely to cause harm to persons or property of Company or its customers. Company shall give Customer such notice as reasonably practicable prior

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

to such disconnection. Company shall (i) use reasonable care and cooperate reasonably with Customer to avoid and minimize interruptions in the acceptance of capacity and energy from the Facility pursuant to this Section 4.12., (ii) keep Customer fully informed as to the anticipated duration of each interruption, and (iii) restore connection and resume acceptance of capacity and energy from Customer as soon as practicable to the extent the condition resulting in the interruption has abated sufficiently to permit such resumption or Company has confirmed to its reasonable satisfaction that despite any deficiencies in Customer's maintenance records, Customer's Interconnection Facilities do not have or are not likely to have a material adverse effect on the Company's Transmission System or the Company Interconnection Facilities, or be likely to cause harm to Company's customers or their property. Any interruption or disconnection of Customer shall be done in accordance with Good Utility Practice and be limited to the extent necessary to effectively relieve the condition necessitating such interruption or disconnection. Such interruption or disconnection shall not be inconsistent with the open access transmission policies of the FERC.

4.13. Continuity of Service. In addition to the rights set forth in section 4.12., above, Company shall have the right, exercisable in accordance with this Section 4.13., to curtail deliveries of energy from Customer or disconnect the Customer Interconnection Facilities: (a) for failure by Customer to comply with the provisions of this Agreement which in Company's reasonable opinion is likely to cause an adverse effect on Company's Transmission System or operations, provided that, Company shall not curtail or disconnect Customer as a result of such noncompliance without providing the Customer written notice and at least thirty (30) days to cure such noncompliance (or if such non-compliance cannot be cured within thirty (30) days but Customer is diligently working on same, an additional reasonable period provided such extension does not affect the safety or reliability of

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

Company's Transmission System); or (b) to the extent required to:

(i) overcome system reliability problems caused by an Emergency;

(ii) permit installation, repairs, maintenance, construction or inspection of any part of Company's equipment or Company's Transmission System (provided that such installation, repairs, maintenance, construction or inspections which are routine or not essential at a particular time shall be done only during a period as mutually agreed upon by Customer and Company acting reasonably);

(iii) facilitate restoration of line or equipment outages;

(iv) overcome system reliability problems caused by an outage of Company's transmission equipment; or

(v) for any reason otherwise permitted by applicable rules or regulations promulgated by a regulatory authority having jurisdiction over such matters.

Except in case of Emergency, in order not to interfere unreasonably with Customer's operations, Company shall give Customer reasonable prior notice of any curtailment or disconnection, the reason for its occurrence and its probable duration. Company shall (i) use reasonable care to avoid and minimize curtailments or disconnections in the acceptance of capacity and energy, (ii) use reasonable care to coordinate any curtailments or disconnections with scheduled outages or maintenance of the Facility, (iii) keep Customer fully informed as to the anticipated duration of each curtailment or disconnection, and (iv) resume acceptance of deliveries of capacity and energy from Customer as soon as practicable once the condition resulting in the interruption has abated sufficiently to permit such resumption. Any curtailment or disconnection of Customer shall be done in accordance with Good Utility Practice and be limited to the extent necessary to effectively relieve the condition

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

necessitating such curtailment or disconnection. Such curtailment or disconnection shall not be inconsistent with FERC's open access transmission policies.

4.14 Customer shall contract for and have available to it Generator Imbalance Services. To the extent Customer fails to contract for and provide such generator imbalance service to the satisfaction of Company in its reasonable judgment, Customer shall be deemed to take, and hereby shall acquire and pay for, such generator imbalance service from the Entergy Operating Companies pursuant to the terms and conditions of the standard form of Generator Imbalance Agreement of the Entergy Operating Companies then in effect. In the event that Customer's Facility is not designated as being located within the Entergy Control Area, then Generator Imbalance Service shall not apply.

ARTICLE V - BILLING AND ADJUSTMENTS

5.1. Subject to Section 5.3, notwithstanding any other provision of this Agreement, Customer shall be responsible for and shall reimburse Company for all actual costs incurred by Company consistent with Sections 3.2.c. and 3.2.d. with respect to the design, construction, and installation of the System Upgrades. Any estimates of costs provided under the terms of this Agreement shall be for purposes of forecasting expected costs and shall not be binding on Company.

5.2. Company shall bill Customer monthly in arrears for the costs to be reimbursed to Company under this Agreement. Customer shall pay all amounts due within thirty (30) days after receipt of Company's statement. Company shall provide reasonable documentation supporting Company's statements. In the event Customer fails to make said monthly payments, Company shall have the right to suspend its performance of work or other obligations under this Agreement until such time as any overdue amounts have been paid in full. If Customer and Company are in dispute with respect to a particular budgeted item or invoice (including without limitation reimbursable costs

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

described in Section 3.2.d.), Company will proceed with the work in order to meet the schedule and Customer will reimburse Company as herein provided, but Customer may nevertheless bring the matter before a court of law, the Louisiana Public Service Commission and/or the FERC, whichever has jurisdiction, for resolution.

5.3. All costs and expenses to be reimbursed by or to be borne by Customer under this Agreement (including without limitation pursuant to Sections 2.2., 3.1., 3.2.c., 3.2.d., 3.2.f., 3.3., 4.4., 4.5., 4.9., 4.11., and 5.1.) shall be actual costs and expenses reasonably incurred and properly documented by Company and consistent with the standards of this Agreement. All third-party costs shall be billed to Company on a pass-through basis without mark-up. Costs charged for time spent by Company personnel shall include only man-hours associated directly with the subject work and shall consist of only the base pay of such personnel allocated to such man-hours plus taxes and benefits directly associated with such base salary compensation. When requested by Customer, Company shall provide Customer with an accounting of such costs and supporting documentation therefor.

5.4 Company shall provide Customer a bill, monthly in arrears, showing the net costs to be paid by Customer to Company, or to be paid by Company to Customer, pursuant to Section 4.3. The owing Party shall pay all amounts shown on Company's bill within thirty (30) days after receipt of Company's statement. Company shall provide reasonable documentation supporting Company's statements. In the event that the owing Party fails to make payment as required by this Section 5.4, any unpaid amounts shall accrue interest from the due date thereof until the date paid at a per annum rate equal to the lesser of (i) the Chase Manhattan Bank's (New York) (or successor thereof) prime rate in effect on the date such amount became due, plus a margin of two percent (2%) per annum, or (ii) the highest rate allowed by applicable law, which accrued interest shall be paid at such time as any

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

overdue amounts are paid. If Customer and Company are in dispute with respect to a particular amount billed pursuant to this Section 5.4, either Party may bring the matter before a court of law, the Louisiana Public Service Commission ("LPSC") and/or the FERC, whichever has jurisdiction, for resolution.

5.5. In the event adjustments to billing statements are required as a result of measurements made by inaccurate meters, the Parties shall use the corrected measurements described in Section 4.9. to compute the amounts due from or to Company for the energy delivered under this Agreement during the period of inaccuracy. If the total amount, as computed, due from a Party for the period of inaccuracy varies from the total amount due as previously computed, and the payment of the previously computed amount has been made, the difference in the amounts shall be paid to the Party entitled to it within thirty (30) days after the paying Party is notified of the recomputation.

ARTICLE VI. - FORCE MAJEURE

6.1. The term "Force Majeure" as used herein shall mean any act of God, labor disturbance, act of the public enemy, war, insurrection, riot, fire, storm or flood, explosion, breakage or accident to machinery or equipment, any curtailment, order, regulation or restriction imposed by governmental military or lawfully established civilian authorities, or any other cause beyond a Party's control. A Force Majeure event does not include an act of negligence or intentional wrongdoing. The Party unable to carry out an obligation imposed on it by this Agreement due to "Force Majeure" shall notify the other Party in writing or by telephone within a reasonable time after the occurrence of the cause relied on and provide all particulars of such occurrence.

6.2. A Party shall not be responsible for any non-performance under this Agreement (except for the obligation to make payments of money) to the extent due to "Force Majeure", whether occurring

on Company's electric system, or any connecting electric system to the extent affecting Company's operations, or at Customer's Facility which renders Company or Customer, respectively, wholly or partially unable to perform an obligation imposed on it under this Agreement. Such Party shall be excused from whatever performance is affected only to the extent a "Force Majeure" situation exists and prevents such performance and such Party attempts in good faith and with reasonable diligence to alleviate such situation; provided, however, such Party shall not be required to take any action with respect to any labor disturbance that such Party in its sole discretion deems inadvisable.

ARTICLE VII - INDEMNITY

7.1. Customer agrees to fully indemnify and hold Company, its members, its shareholders, directors, officers, agents, representatives, employees, servants, its affiliated and associated companies, their respective shareholders and/or its assigns, harmless from and against any and all claims, demands, liability, losses, damage, costs or expenses (including attorneys' fees and other costs of defense), of any nature or kind whatsoever, including, but not limited to, claims, demands and/or liability for personal injury to (including death of) any person whomever (including payments and awards made to Customer's employees or others under any workers' compensation law or under any plan for employees' disability and death benefits) and for damage to any property whatsoever (including the Customer Interconnection Facilities, the Facility, the System Upgrades and Company's Transmission System) arising out of or otherwise resulting from the use, ownership, maintenance, or operation of the Facility or the Customer Interconnection Facilities; provided however, that the provisions of this Section 7.1 shall not apply to the extent that any such personal injury or property damage is held to have been caused by the negligence or the willful misconduct of Company, its agents or employees.

7.2. Company agrees to fully indemnify and hold Customer, its members, shareholders, directors, officers, agents, representatives, employees, servants, its affiliated and associated companies, their respective shareholders and/or its assigns, harmless from and against any and all claims, demands, liability, losses, damage, costs or expenses (including attorneys' fees and other costs of defense), of any nature or kind whatsoever, including, but not limited to, claims, demands and/or liability for personal injury to (including death of) any person whomever (including payments and awards made to Company's employees or others under any workers' compensation law or under any plan for employees' disability and death benefits) and for damage to any property whatsoever (including the Customer Interconnection Facilities, the Facility, the System Upgrades and Company's Transmission System) arising out of or otherwise resulting from the use, ownership, maintenance, or operation of the System Upgrades and/or Company's Transmission System; provided, however, that the provisions of this Section 7.2 shall not apply to the extent such personal injury or property damage is held to have been caused by the negligence or the willful misconduct of Customer, its agents or employees.

7.3. Except to the extent: (i) expressly provided in Paragraph 4.6.b of this Agreement; or (ii) of the gross negligence or willful misconduct of a Party; neither Party shall be liable in contract, in tort (including negligence), or otherwise to the other Party, its agents, representatives, its affiliated and associated companies, and/or its assigns, for any incidental or consequential loss or damage whatsoever, including, but not limited to, loss of profits or revenue on work not performed, for loss of use of or under-utilization of the other Party's facilities, or loss of use of revenues or loss of anticipated profits, resulting from either Party's performance or non-performance of an obligation imposed on it by this Agreement.

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

7.4. Each Party acknowledges and agrees that in no event shall any partner, shareholder, member, owner, officer, director, employee, or affiliate of either Party be personally liable to the other Party for any payments, obligations, of performance due under this Agreement, or any breach or failure of performance of either Party and the sole recourse for payment or performance of the obligations hereunder shall be against the Customer or Company and each of their respective assets and not against any other Person, except for such liability as expressly assumed by an assignee pursuant to an assignment of this Agreement in accordance with the terms hereof.

ARTICLE VIII - MISCELLANEOUS

8.1. Waiver. Any waiver at any time by either Party of its rights with respect to a default under this Agreement, or with respect to any other matters arising in connection with this Agreement, must be in writing and shall not be deemed a waiver with respect to any subsequent default of other matter.

8.2. Assignment. Neither Party shall voluntarily assign this Agreement, or any part thereof, without the written consent of the other Party, which consent shall not be unreasonably withheld, and any such assignment or delegation made without such written consent shall be null and void, except in connection with the sale or merger of a substantial portion of its properties (or in the case of Company, the Company's Transmission System) including the Interconnection Facilities which it owns, and in the case of Customer, to its Lenders in connection with financing of the Facility or to an Affiliate of Customer, in which case no consent shall be required. Notwithstanding any other provision of this Agreement to the contrary, Company acknowledges that this Agreement will be an integral part of Customer's financing of the Facility and that Customer may assign or transfer this Agreement or any part thereof or interest therein, to the Lender as security for Customer's performance of its obligations

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

to the Lender. Company, at Customer's cost, agrees to consent to a collateral assignment of this Agreement for the benefit of the Lender, and provide, execute and deliver to Customer and the Lender such consent as Customer and the Lender may reasonably require as a condition of such assignment as prepared by Customer or the Lender at their cost. Company shall execute and deliver a consent pursuant to which Company, among other things, (i) authorizes Customer to encumber in favor of the Lender all of its right, title and interest in this Agreement and the Project, including all sums of money payable to Customer pursuant to this Agreement, (ii) agrees to pay all sums of money payable to Customer pursuant to this Agreement directly into accounts designated by, and held by, for the benefit of, or in the name of, the Lender: and (iii) agrees not to terminate this Agreement without providing to the Lender prior written notice of the events or conditions prompting such notice and a reasonable opportunity to cure. Company shall also provide to the Lender, in connection with the execution of the financing documents for the Project, to the actual knowledge of the signatory to such certificate, without investigation, a certificate stating that: (i) this Agreement is in full force and effect and that neither Customer or Company is in default hereunder or thereunder, (ii) all representations made by Company in this Agreement are true and complete as of such date: and (iii) all conditions to be satisfied by Company on or prior to such date have been satisfied.

8.3. Governing Law. The validity, interpretation and performance of this Agreement and each of its provisions shall be governed by the applicable laws of the State of Louisiana without regard to the Conflicts of Law provisions.

8.4. Headings Not to Affect Meaning. The descriptive headings and the various Sections and Articles of this Interconnection Agreement have been inserted for convenience of reference only and shall in no way modify or restrict any of the terms and provisions hereof.

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

8.5. Amendments. This Interconnection Agreement may be amended by and only by a written instrument duly executed by each of the Parties hereto.

8.6. Standards. Company and Customer shall discharge any and all rights and obligations under this Interconnection Agreement in a prudent manner and in accordance with Good Utility Practice. Any exercise by Company of any right of approval, inspection or review under this Agreement shall not be unreasonably withhold or delayed.

8.7. Governmental Jurisdiction and Authorization.

a. This Agreement shall become effective when executed by both Parties and shall be subject to the acceptance for filing or approval, by the FERC. The Company shall use due diligence to file this Agreement with the FERC and obtain its acceptance for filing or approval. In the event the FERC requires changes in this Agreement as a condition to its acceptance or, if applicable, approval of this Agreement, the Parties shall negotiate in good faith for a period of no less than thirty (30) days to effect any required amendments. If, at the end of such period, the Parties have not reached agreement on such amendment and either Party would be materially adversely affected by the required change, the adversely affected Party may terminate this Agreement, effective upon fifteen (15) days notice to the other Party. Company shall also use due diligence to seek and obtain any other governmental approval required by it to construct, own, operate and maintain the System Upgrades.

b. This Agreement is subject to present and future laws and orders, rules and regulations of various regulatory authorities having jurisdiction. Each Party expressly reserves, however, the right to appeal and otherwise contest any change ordered by a governmental agency or court having jurisdiction in the rights, terms and conditions specified in this Agreement.

8.8. Notices. Any notice, demand or request required or permitted to be given

by either Party to the other and any instrument required or permitted to be tendered or delivered by either Party to the other may be so given, tendered or delivered, as the case may be, by depositing the same in any United States Post Office with postage prepaid, by certified or registered mail, addressed to the Party, or personally delivered to the Party or sent by facsimile transmission as follows, and will be effective upon receipt:

To Company:
Entergy Services, Inc.
639 Loyola Avenue
New Orleans, Louisiana 70113
Attention: Interconnection Arrangements Administrator
Fax: 504-576-6109

To Customer:
Calcasieu Power, LLC
c/o Dynegy Power Corp.
1000 Louisiana, Suite 5800
Houston, Texas 77002-5050
Attention: Vice President, Business Management
Fax: 713 / 767 - 8506

With copy to:
Calcasieu Power, LLC
c/o Dynegy Power Corp.
1000 Louisiana, Suite 5800
Houston, Texas 77002-5050
Attention: General Counsel
Fax: 713 / 767 - 8510

ARTICLE IX - INSURANCE

9.1. Without limiting any obligations or liabilities under this Agreement, each Party shall, at its own expense, provide and maintain or cause to be provided and maintained, in effect beginning upon the date of Customer's authorization to proceed to Company pursuant to Section 3.2.d. for the life of this Agreement, minimum insurance coverage (in any combination of primary and excess/umbrella and subject to commercially reasonable deductibles) written by one or more internationally reputable

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

insurance companies authorized to do business in Louisiana, rated by AM Best or by Lloyds Companies reasonably acceptable to the other Party, such acceptance not to be unreasonably withheld, as follows:

a. Workers' Compensation Insurance in accordance with all applicable State, Federal, and Maritime laws, including Employer's Liability Insurance in the minimum amount of One Million Dollars ($1,000,000). This coverage shall only be required to be maintained to the extent Company and Customer, as applicable, have employees.

b. Comprehensive Automobile Liability Insurance for coverage of owned, non-owned and hired vehicles, trailers or semi-trailers licensed for travel on public roads, with a minimum combined single limit of One Million Dollars ($1,000,000) per occurrence for bodily injury, including death, and property damage.

c. Commercial General Liability Insurance, including contractual liability coverage for liabilities assumed under this Agreement, products/completed operations coverage, broad form property liability coverage, and personal injury coverage, with combined single limit of not less than One Million Dollars ($1,000,000) each occurrence and Two Million Dollars ($2,000,000) general aggregate and products aggregate.

d. Excess Public Liability Insurance over and above the Employer's Liability, Commercial General Liability and Comprehensive Automobile Liability Insurance coverage, with a minimum combined single limit of Twenty Million Dollars ($20,000,000) per occurrence/Twenty Million Dollars ($20,000,000) aggregate.

e. All Risk Property Damage Insurance on the Facility and the Customer Interconnection Facilities with respect to Customer, and on the System Upgrades with respect to

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

Company, for each Party's own risk of loss, including coverage for electrical injury under an electrical apparatus assumption clause and Boiler and Machinery Insurance (with respect to the Facility, upon commercial operation) which shall include mechanical breakdown, including, but not limited to, any pressure vessels, air tanks, boilers, machinery, turbine generators, transformers, pressure piping, and heating and air conditioning equipment.

9.2 The Commercial General Liability Insurance, Comprehensive Automobile Liability Insurance, and Excess Public Liability Insurance policies shall name the other Party, its Affiliates and their respective directors, officers, agents, servants and employees ("Other Party Group") as additional insured.

9.3 All policies required under this Article IX shall contain provisions whereby: (i) the insurers waive all rights of subrogation in accordance with the provisions of this Agreement against the Other Party Group: and (ii) provide thirty (30) days' advance written notice to the Other Party Group prior to each respective anniversary date, any notice of policy cancellation or any material change in coverage or condition, with the exception of ten (10) days' advance written notice for non-payment of premiums.

9.4 The Commercial General Liability Insurance, Comprehensive Automobile Liability Insurance and Excess Public Liability Insurance policies shall be primary, shall apply to such extent without consideration for other policies separately carried, and shall assure that each insured is provided coverage as though a separate policy had been issued to each, except the insurer's liability shall not be increased beyond the amount for which the insurer would have been liable had only one insured been covered. Each Party shall be responsible for its respective industry standard deductibles or retentions.

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

9.5 The Commercial General Liability Insurance, Comprehensive Automobile Liability Insurance and Excess Public Liability Insurance policies, if written on a claims made basis, shall (i) have a retroactive date no later than the date of this Agreement and (ii) be maintained in full force and effect for two (2) years after termination of this Agreement, which coverage may be in the form of tail coverage or extended reporting period coverage if agreed by the Parties.

9.6 The requirements contained herein as to the types and limits of all insurance to be maintained by the Parties are not intended to and shall not in any manner, limit or qualify the liabilities and obligations assumed by the Parties under this Agreement.

9.7 Within ten (10) days following execution of this Agreement, and as soon as practicable after the end of each fiscal year or at the renewal of the insurance policy and in any event within ninety (90) days thereafter, each Party shall provide certification of all insurance required in this Agreement, executed by each insurer or by an authorized representative of each insurer.

9.8 The Parties agree to report to each other in writing as soon as practical all accidents or occurrences resulting in injuries to any person, including death, and any property damage arising out of this Agreement.

9.9. Prior to the date the Facility is first operated in parallel with Company's electric system and annually thereafter during the term of this Agreement, Customer shall furnish Certificates of Insurance to Company evidencing the coverages required under this Article IX, including specifically setting forth the requirements of Sections 9.1., 9.2., and 9.3. above, and, if applicable Section 9.5. In addition, prior to the date the Facility is first operated in parallel with Company's electric system and annually thereafter during the term of this Agreement, Company shall furnish Certificates of Insurance to Customer evidencing the coverages required under this Article IX.

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

ARTICLE X - GENERAL PROVISIONS

10.1. Company shall not be liable for any costs or damages due to the inability of Customer or its designated representatives to obtain any licenses or permits required by any authority having jurisdiction over such matters.

10.2 Nothing herein shall obligate Customer to transmit electric power generated by the Facility over Company's Transmission System.

10.3. This Agreement, including all Appendices hereto, constitutes the entire agreement between the Parties hereto with reference to the subject matter hereof and no change or modification as to any of the provisions hereof shall be binding on either Party unless reduced to writing and approved by the authorized officer or agent of the Customer and the President or a Vice President of the Company. Notwithstanding the foregoing, nothing contained herein shall be construed as affecting in any way the right of the Company or Customer to unilaterally make application to the FERC for a change in rates, terms or conditions of service under Sections 205 and 206 of the Federal Power Act and pursuant to FERC's Rules and Regulations promulgated thereunder. The terms and conditions of this Agreement and every Appendix referred to herein shall be amended, as agreed to by the Parties, to comply with changes or alterations made necessary by a applicable order of any governmental regulatory authority, or any court, having jurisdiction hereof. This Agreement includes the following appendices, which are attached to and incorporated herein:

Appendix A - Interconnection Facilities

Appendix B - System Upgrades

Appendix C - Metering Facilities

Appendix D – Independent Contractor List

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

Appendix E – Company Non-Utility Generator Interconnection Requirements Standard

[Remainder Of Page Left Blank – Next Page Is Signature Page]

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

IN WITNESS WHEREOF, the Parties have caused this Agreement to be duly executed by their duly authorized officers on the day and year first above written.

WITNESSES:

CALCASIEU POWER, LLC

_____

_____

By: _____

Name: _____

Title: _____

WITNESSES:

ENTERGY GULF STATES, INC.

_____

_____

By: _____

Name: _____

Title: _____

Signature Page
to
Interconnection and Operating Agreement
by and between
Entergy Gulf States, Inc.
and
Calcasieu Power, LLC
Dated _____, 2000

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

APPENDIX A
INTERCONNECTION FACILITIES

This Appendix A is a part of the Interconnection and Operating Agreement between Calcasieu Power, LLC ("Customer") and Entergy Gulf States, Inc. ("Company").

Name and Location of Interconnection Facility

The Company-owned substation hereinafter known as "Calcasieu Switching Station", is located in Calcasieu Parish, Louisiana in Section 25, T-10-S, R-10-W on and just south of State Hwy 1133.

Facilities to be Furnished by Customer to Company

Customer will construct, in accordance with Company Non-Utility Generator Interconnection Requirements Standard, a three-breaker ring bus at Calcasieu Switching Station.

Customer will acquire approximately 3960 feet of new, 150-foot width transmission line right-of-way so as to provide a continuous right-of-way from Calcasieu Switching Station to the existing Company transmission line. The right-of-way will be obtained using an approved instrument per Section 3.1. of this Agreement.

Customer will construct approximately 3960 feet of 230 kV, double circuit transmission line capable of transmitting 640 MVA of electric power, to and from the existing Entergy Pecan Grove-Boudoin 230 kV transmission line to the Calcasieu Switching Station in accordance with Section 3.2.b. of this Agreement. Company will be responsible for energizing all facilities in accordance with the project schedule.

Customer and Company hereby acknowledge and agree that Customer will install the above mentioned interconnection facilities and will transfer all facilities on the Company side of the Point of Interconnection to Company at no cost.

Facilities to be Furnished by Company

Provide labor and material to cut the Company's Boudoin-Pecan Grove 230 kV transmission line, strut the adjacent Company-owned transmission structures, and deadend the conductor spans on Customer's transmission structures.

Point of Interconnection

The point of interconnection will be at the 230 disconnect switches of the Customer-owned generator-step-up transformer(s).

Cost Responsibility

Customer and Company hereby acknowledge and agree that the cost listed below is only an estimate and that Customer hereby agrees to and shall reimburse Company for all costs incurred by Company in accordance with the Agreement, including any applicable taxes associated with the Company's construction of Interconnection Facilities, or Company's acquisition of any Interconnection Facilities

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

provided to Company by Customer as set forth in this Appendix A. The cost of Company Interconnection Facilities is estimated to be $27,000, which amount includes an estimate of applicable taxes and the tax effects.

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

APPENDIX B
SYSTEM UPGRADES

This Appendix B is a part of the Interconnection and Operating Agreement between Calcasieu Power, LLC ("Customer") and Entergy Gulf States, Inc. ("Company").

Description of System Upgrades

Company will install additional breaker-failure, transfer-trip relaying on the Boudoin terminal of the Boudoin-Calcasieu Switching Station transmission line and on the Pecan Grove terminal of the Pecan Grove-Calcasieu Switching Station.

Customer and Company hereby acknowledge and agree that Company will purchase and Customer will install all breaker-failure, transfer-trip relaying at its Calcasieu Switching Station. Company will purchase and install the breaker-failure, transfer-trip relaying at its Boudoin and at its Pecan Grove Substations.

Customer will purchase all fiber optic conductor required to connect the three terminals mentioned above. Customer will install fiber optic conductor on the new transmission line.

Customer will provide fiber optic cable to Company and Company will install fiber optic conductor on its transmission facilities.

Cost Responsibility

Customer and Company hereby acknowledge and agree that the cost listed below is only an estimate and that Customer hereby agrees to and shall reimburse Company for all costs incurred by Company in accordance with the Agreement, including any applicable taxes associated with the Company's construction of System Upgrades. The cost of System Upgrades is estimated to be $59,000, which amount includes an estimate of applicable taxes and tax effects.

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

APPENDIX C
METERING FACILITIES

This Appendix C is a part of the Interconnection and Operating Agreement between Calcasieu Power, LLC ("Customer") and Entergy Gulf States, Inc. ("Company").

Metering facilities will be purchased by Customer, installed by Customer in the Calcasieu Switching Station, and ownership transferred to Company at no cost.

Facilities purchased by and installed by Customer, and transferred to Company, will include three, 230 kV bus PT's and two sets of three revenue accurate, 230 kV metering CT's.

Company will provide the revenue meter.

Cost Responsibility

Customer and Company hereby acknowledge and agree that the cost listed below is only an estimate and that Customer hereby agrees to and shall reimburse Company for all costs incurred by Company in accordance with the Agreement, including any applicable taxes associated with the Company's provision of Metering Facilities as set forth in this Appendix C. The cost of Metering Facilities is estimated to be $20,100, which amount includes an estimate of applicable taxes and tax effects.

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

APPENDIX D
INDEPENDENT CONTRACTOR LIST

This Appendix D is a part of the Interconnection and Operating Agreement between Calcasieu Power, LLC ("Customer") and Entergy Gulf States, Inc. ("Company").

Pursuant to the provisions of Article III., 3.2.c., following is list of Independent Contractors:

- Irby Construction
- Red Simpson
- Highlines Construction
- Entergy Operations Services, Inc.

APPENDIX E

Company Non-Utility Generator Interconnection Requirements Standard

This Appendix E is a part of the Interconnection and Operating Agreement between Calcasieu Power, LLC ("Customer") and Entergy Gulf States, Inc. ("Company").

The Company's Non-Utility Generator Interconnection Requirements Standard is attached hereto and hereby made a part of the Agreement.

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

Entergy

ENGINEERING & CONSTRUCTION
DESIGN STANDARD
SYSTEM PROTECTION & CONTROL

Title: **Non-Utility Generator Interconnection Requirements Standard**	Standard No.: **PM3901, Rev. 02**	Effective Date: **15-Jan-2000**
Prepared By: David B. McNeill Engineering & Construction	Approved By: P. M. Smith, Manager E & C Services	

1.0 Introduction

1.1 Purpose

The purpose of this standard is to provide guidance to those responsible for the application and requirements of interconnection and parallel operation with non-utility generation.

1.2 Scope

This standard applies to all non-utility generators (Qualified Cogenerators and Exempt Wholesale Generators) with facilities that allow interconnection with Entergy transmission (69kV and above) lines. The "anti-islanding" requirements of section 3.1.2.12 & 3.1.2.13 are also applicable to non-utility generators connected to the distribution system. For other interconnection requirements associated with non-utility generators connected to the Entergy system at 34.5kV and below see Distribution Standard No. DR07-01-0895.

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

Issued by: J.P. Zimmerman III
Manager, Transmission Policy

Effective: April 7, 2000

Issued on: November 1, 2000

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

DESIGN STANDARD

Title:	Non-Utility Generator Interconnection Requirements Standard	Standard No.: PM3901, Rev. 02	Effective Date: 15-Jan-2000

2.0 Definitions

Automatic Synchronization – A process utilized by generation operators to interconnect a generator unit to an energized electrical system for parallel operation using prime mover and excitation controls that automatically synchronize the generator output voltage to that of the energized electrical system. The generator output breakers automatically close when synchronization of the generator is achieved. Entergy Transmission Planning will specify the acceptable synchronizing phase angle range.

Auxiliary Load – The electrical load at a generation facility that is utilized to directly support those systems and equipment required for the production of electrical energy.

Exempt Wholesale Generator (EWG). An entity that owns and/or operates a physical facility that is dedicated exclusively to the generation and delivery of electrical energy to the wholesale electric energy market.

Facilities Study – Study performed, after the interconnection study, to develop more detailed cost estimates of the upgrades identified by the Interconnection Study. It may also provide alternate or more cost-effective solutions to the problems identified in the Interconnection Study. The deliverable of this study is a "Scope Document" that may include but is not limited to the following:

1. The work scope of the project,
   a. Supervisory Control and Data Acquisition (SCADA) requirements
   b. Metering requirements
   c. Relay modifications on Entergy's system
   d. Equipment replacement
   e. Re-conductoring of transmission lines
2. A list of assumptions used in developing the scope.
3. An estimated construction schedule.
4. An estimated cost of the project.

Forced Outage - Any interruption caused by mechanical or electrical equipment failure that either fully or partially curtails the electrical output of the generation facility.

Gross Generation – For generation facilities with auxiliary and non-auxiliary loads, gross generation is the total power produced less the auxiliary loads.

Interconnection and Operating Agreement – The contract required to be executed between Entergy and a NUG for interconnection of the NUG to the Entergy Transmission System.

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

DESIGN STANDARD

Title:	**Non-Utility Generator Interconnection Requirements Standard**	Standard No.: **PM3901, Rev. 02**	Effective Date: **15-Jan-2000**

Interconnection Facilities - All facilities and costs required to interconnect and receive/deliver power from/to the NUG's facility to/from Entergy's system including, but not limited to, connection, transmission, distribution, engineering, administration, transformation, switching, metering, protective relaying, communications, and safety equipment. Interconnection facilities shall include any additions and/or modifications to Entergy's system, deemed by Entergy to be necessary.

Interconnection Study – The engineering analyses required to be performed by Entergy prior to interconnection of any generation to the Entergy Transmission System. The study is comprised of two parts, "Feasibility Study" and "Detailed Interconnection Study". The Feasibility study portion provides a cursory assessment of transmission constraints expected for the customer-specified site, capacity, expected in-service date, and voltage level. Based upon the results, the customer may proceed with a Detailed Interconnection Study. The Detailed Interconnection portion of the study includes three separate analyses: 1) Load Flow Analysis, 2) Short Circuit/Breaker Rating Analysis, and 3) Transient Stability Analysis.

Net Energy Output - The real electrical energy delivered to the transmission system, over a specified period of time, through the point of interconnection, measured in Megawatt-hours. That is typically the net generator energy output less the energy used at the station and the step-up transformation real electrical energy losses.

Net Generation – For generation facilities with auxiliary and non-auxiliary loads, net generation is the total power produced less the auxiliary and non-auxiliary loads.

Non-Auxiliary Load – The electrical load at a generation facility that is utilized for processes that do not directly support the systems and equipment required for the production of electrical energy.

Non-Utility Generator (NUG) - A transmission system customer who owns and operates a Qualified Cogeneration Facility, qualifying under Section 201 of PURPA (1978) or an (EWG) Exempt Wholesale Generator (see below). A NUG may also be referred to as an Independent Power Producer (IPP).

Qualifying Facility (QF) – One of the two types of Non-Utility Generators. A Qualifying Cogeneration facility produces and uses electrical and thermal energy. As a qualifying facility, these non-utility generators are eligible to either sell energy on the wholesale electric energy market or enter into an "avoided cost only" contract that requires the utility to buy excess electrical power from the QF at the utilities' avoided cost for electrical energy.

Semi-Automatic Synchronization – A process utilized by generation operators to interconnect a generator unit to an energized electrical system for parallel operation using manual control of prime mover and generator excitation to synchronize the generator output voltage to that of the energized electrical system. Using a synchroscope, the generator output breakers are manually closed by operations personnel when synchronization is achieved. The breaker "Close" control circuit is supervised by a synchronization relay to ensure the breaker is not closed "out-of-synch".

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

DESIGN STANDARD

Title:	Non-Utility Generator Interconnection Requirements Standard	Standard No.: PM3901, Rev. 02	Effective Date: 15-Jan-2000

System Protection Facilities - The equipment required to protect: (1) The Entergy system and its customers from faults occurring at the NUG facility, and (2) the NUG facility from faults occurring on the Entergy system or on the system of others to which it is directly or indirectly connected.

Transmission Customer – Any entity with load and/or generation facilities that purchases transmission service for the purpose of providing or receiving electrical energy.

3.0 Details

3.1 General

3.1.1 Overall Requirements

To ensure that Entergy Transmission and its operating Regions are able to meet their obligations and responsibilities to their customers and to the general public, NUG's shall be permitted to interconnect and operate their generators in parallel with other Entergy system generation only after all of the following conditions are met and maintained throughout the duration of the interconnection:

1. The NUG shall be responsible for the design, installation, operation and maintenance of all equipment and facilities installed or to be installed on the NUG's side of the point of interconnection as specified by the parties involved. Such design shall meet the latest standards of IEEE, NEMA, ANSI, NEC and other national codes pertaining to the design and construction of electrical substations. The NUG design shall also comply with all existing (or amended) manuals, standards, and guidelines of the North American Electric Reliability Council and the Southeastern Electric Reliability Council, or the requirements of any successor agency charged with similar responsibilities and jurisdiction related to the protection, operation and reliability of the interconnected electric transmission grid within the Entergy control area. The equipment selected shall be capable of continuous parallel operation with the Entergy system. The facility shall be subject to the requirements of all governmental agencies asserting jurisdiction and shall comply with all applicable codes and ordinances. The NUG shall give its warranty of expertise in the use of electric power and energy. It is the responsibility of the NUG to ensure that its facilities do not cause any reduction in the quality of service provided to other transmission customers.

2. The NUG must submit copies of the design and specifications pertinent to the electrical interconnection for the proposed facility, including all generator data and protective system design data to Entergy for review prior to connection to the Entergy Transmission system. Such review shall not be construed as confirmation nor endorsement of the design or as any warranty of safety, durability or reliability of the equipment specified.

3. It is the responsibility of the NUG to contact Entergy Transmission prior to the design phase of the proposed project to identify any special requirements for the proposed transmission system interconnection.

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

DESIGN STANDARD

Title:	Non-Utility Generator Interconnection Requirements Standard	Standard No.: PM3901, Rev. 02	Effective Date: 15-Jan-2000

4. Entergy will specify, provide, install, and maintain all necessary new or additional facilities located on the Entergy side of the point of interconnection. In addition, Entergy will specify, install, own, and maintain all necessary metering equipment required for interconnection with the NUG. The NUG shall be responsible for the cost of such facilities in accordance with the rules of the applicable regulatory body.

5. The NUG shall be responsible for all routine maintenance of its generating equipment and protective devices. Complete maintenance records of the protective devices essential to the interconnection must be maintained by the NUG and be available for Entergy's review. In addition, the NUG shall provide any changes to the generator model data to Entergy.

6. Interconnected NUG facilities must have reactive power capacity adequate to allow the generator to operate within the power factor range of 95% (lagging) to 97% (leading) at full rated power as measured at the point of interconnection with normal auxiliary and non-auxiliary loads in service. NUG facilities shall maintain transmission system voltage schedules as mandated by Entergy Transmission. Additionally, Qualifying Cogenerators shall be responsible for supplying reactive power as required by their non-auxiliary load.

7. The NUG shall be responsible for all costs associated with the design, specification and installation of NUG facility upgrades required by future changes to the transmission system.

8. Prior to interconnection of the NUG facilities with the Entergy transmission system, the NUG must submit to Entergy, the following executed documents:

   1) an Interconnection Agreement, and
   2) an Operating Agreement.

9. Entergy shall retain the right but not the obligation to immediately sever the interconnection with the NUG if, in the sole judgment of Entergy Transmission personnel, separation is necessary to protect its facilities, interconnected transmission system, customers, employees, or the general public. Entergy shall not be liable for any damage, which may result from such disconnection.

3.1.2 Protection/Interface Requirements

1. The NUG shall provide a circuit breaker(s), as specified by the applicable IEEE Standards, between its generator(s) and the Entergy Transmission system. The breaker(s) must be capable of interrupting the maximum fault current available from either the NUG's generator(s) or the Entergy system, and be capable of withstanding twice the normal system voltage. The values for fault currents available from the Entergy system will be supplied by Entergy provided the NUG has submitted sufficient data concerning its proposed system.

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

DESIGN STANDARD

Title:	**Non-Utility Generator Interconnection Requirements Standard**	Standard No.: **PM3901, Rev. 02**	Effective Date: **15-Jan-2000**

2. All short-circuit interrupting devices must be equipped with an Entergy approved backup power source (e.g. station battery and charger). Such approval shall not be construed as confirmation or endorsement of the design or as any warranty of safety, durability or reliability of the equipment specified.

3. A visible disconnecting device with load interrupting capability shall be located between the NUG's generator output(s) and the Entergy system. The NUG's disconnecting device shall be acceptable to Entergy for this purpose or Entergy will install a disconnecting device at the NUG's expense. Entergy reserves the right to open the disconnecting device with or without prior notice to the NUG for any of the following reasons:

   a. System emergency
   b. Interference of the NUG's generator(s) with service to other Entergy customers or with operation of the Entergy system
   c. Existence of a hazardous condition
   d. Lack of scheduled maintenance or lack of maintenance records as revealed by inspection of the NUG's protective devices.

4. The generator protective relaying scheme must provide protective functions consistent with industry standards for transmission system connected generation equipment. For each interconnection request, Entergy Transmission planning personnel will perform or cause to be performed dynamic transmission system studies of specific system faults identified as potential threats to system stability. These studies shall be performed for the purpose of determining the minimum acceptable clearing times required to maintain system stability for the identified, detectable faults. The protective relaying equipment installed must satisfy the minimum acceptable clearing requirements as determined by Entergy Transmission Planning. Additional relaying schemes may be required to ensure stability of the Entergy system if critical clearing time requirements cannot be achieved with normal relaying schemes (e. g.: trip one generator for any fault on a specific line, regardless of fault clearing time, if loss of that line causes instability). The NUG shall be responsible for all costs associated with transmission system upgrades required by the interconnection of the NUG to ensure stability of the transmission system. System upgrades required for transmission system stability as a result of the interconnection of a NUG facility shall be designed, specified and installed by Entergy Transmission.

5. Interconnection protective devices on the NUG's system must be consistent with Entergy Transmission protection practices. Settings of interconnection protective devices on the NUG's system will be specified by the NUG to coordinate with area transmission system protective relaying, and shall be reviewed by Entergy personnel prior to interconnection. Such review shall not be construed as confirmation or endorsement of the design or as any warranty of safety, durability or reliability of the equipment specified. The NUG shall be solely responsible for implementation of protective device settings on its system. When modifications to the area transmission system or NUG system require changes to NUG protective relay settings, the NUG will be responsible for specifying the revised settings, obtaining Entergy Transmission review of the revised settings, and implementing the required protective relay setting

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

DESIGN STANDARD

Title:	Non-Utility Generator Interconnection Requirements Standard	Standard No.: PM3901, Rev. 02	Effective Date: 15-Jan-2000

revisions. Entergy review of relay settings shall not be construed as confirmation or endorsement of the design or as any warranty of safety, durability or reliability of the equipment specified.

6. The NUG shall be responsible for providing protective devices meeting all applicable ANSI standards, including IEEE C37.90 and Entergy specified protection guidelines and standards at the time of interconnection. The installed protective devices must be capable of protecting the NUG generating equipment against faults and disturbances on the Entergy system, and on its own system. The NUG shall be responsible for the design, installation and operation of the generator and associated interconnection protective relaying equipment in accordance with Entergy Transmission Planning requirements and NERC Planning Standards.

7. As required by Entergy Transmission, the NUG shall be responsible for providing the detailed electrical equipment characteristics necessary to assess the impact of the generator on the transmission system available fault current. Entergy shall perform or cause to be performed a detailed study of the available transmission system fault currents. Where installation of the NUG increases the available fault current on the area transmission system above the interrupt rating of installed protective devices, the NUG shall be responsible for all costs associated with the design, specification and installation of the required upgrades. At the discretion of Entergy Transmission, the NUG may be required to design and install fault current limiting equipment.

8. The NUG must install a step-up transformer between its generator(s) and the interconnection point(s) with Entergy to isolate the zero sequence circuit of the NUG from the zero sequence circuit of the Entergy transmission system. This is to provide maximum operating flexibility for and to minimize possible adverse effects on Entergy's other Transmission system customers. The step-up transformer's winding configuration shall be specified by Entergy Transmission. Typically at NUG interconnections, step-up transformers shall be installed with a solidly grounded wye-winding configuration on the transmission side and a delta-winding configuration on the generator side. This configuration ensures a sensible level of ground fault current for detecting ground faults on the adjacent transmission system. At the discretion of Entergy Transmission, a current limiting reactor may be required in the neutral of the wye winding. If required, the NUG shall be responsible for the design, specification and installation of the neutral reactor.

9. Entergy reserves the right, without obligation, to observe, perform or cause to be performed tests and/or inspections of any of the NUG's protective equipment essential to the interconnection including, but not limited to, relays, circuit breakers, protective devices and related equipment. Inspection may include simulated test tripping of the NUG's interconnection breakers by the protective relays.

10. Settings of all protective devices (e.g., current transformers, potential transformers, relays, reclosers, fuses.) on the Entergy system will be specified and implemented by Entergy.

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

DESIGN STANDARD

Title:	Non-Utility Generator Interconnection Requirements Standard	Standard No.: PM3901, Rev. 02	Effective Date: 15-Jan-2000

11. Any changes to Entergy protective relay equipment deemed necessary by Entergy Transmission due to the interconnection of the NUG's generator(s) shall be made by Entergy at the NUG's expense.

12. The NUG shall be solely responsible for provisions to disconnect its generation automatically when a disturbance results in the NUG's generation being isolated from other system generation (islanding). Entergy Transmission system anti-islanding schemes typically include the installation of equipment to generate a direct transfer trip signal to the NUG from remote stations. The NUG shall be responsible for the installation of anti-islanding equipment capable of automatically disconnecting the generator from the transmission system for any single or double contingency that might cause the NUG to be "islanded" from the transmission system. The anti-islanding equipment design and specification shall be reviewed by Entergy Transmission prior to installation. Entergy review of the anti-islanding equipment design shall not be construed as confirmation or endorsement of the design or as any warranty of safety, durability or reliability of the equipment specified.

13. The NUG shall be responsible for all costs associated with the design, specification and installation of "islanding" protection equipment. If anti-islanding equipment must be installed on the Entergy side of the point of interconnection, Entergy shall install such equipment at the NUG's cost.

14. The NUG shall be responsible for providing protective relay equipment capable of sensing an "out of step" condition and automatically separating the generator from the transmission system.

15. Unless reviewed by the Transmission Operator, for the purpose of implementing the "Black-start" procedure, interconnected NUG facilities shall have "deadline" sensing supervision/interlocks on interconnection breakers and disconnects that preclude the connecting of the generator to a de-energized transmission system. Such review shall not be construed as confirmation or endorsement of the design or as any warranty of safety, durability or reliability of the equipment specified.

16. NUG facilities shall NOT employ automatic reclosing equipment in generator output or interconnection circuit breakers or disconnect devices. Following automatic actuation of an interconnection interrupting device that separates the NUG from the transmission system, the NUG shall NOT attempt to re-establish parallel operation with the transmission system until authorized by Entergy System Operations Center (SOC) personnel.

17. NERC Planning Criteria require the interconnected transmission system frequency be maintained between 59.95 Hz and 60.05 Hz. In the event of an under-frequency system disturbance, the transmission system is designed to automatically actuate a three-tiered load shed program. The three load sheds occur at 59.3, 59.0 & 58.7 Hz respectively. To ensure "ride-through" capability of the transmission system, interconnected Exempt Wholesale Generators and Qualified Facilities supplying power to the transmission system shall implement an under-frequency

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc
All Rights Reserved

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

DESIGN STANDARD

Title:	Non-Utility Generator Interconnection Requirements Standard	Standard No.: PM3901, Rev. 02	Effective Date: 15-Jan-2000

relay setpoint no greater than 58.2 Hz. Qualified Facilities receiving power from the transmission system may implement a higher under-frequency relay setpoint if necessary to protect their facilities and equipment.

18. As determined by Entergy Transmission, protective relay equipment may be required at the primary voltage level to detect ground and phase faults that occur on the Entergy system (especially if a primary, delta step-up transformer configuration is specified). These devices, to be owned by Entergy Transmission, will operate to isolate the NUG facility from the Entergy system and eliminate any ground current contribution from the NUG's generator. If required, all costs associated with the design, specification, installation and maintenance of high-side ground fault relay equipment shall be the responsibility of the NUG.

3.1.3 Synchronizing Requirements

The NUG shall be solely responsible for proper synchronization and connection of its electrical system to the Entergy transmission system. The NUG shall own and maintain the synchronizing circuit breaker(s). The NUG shall be responsible for the design, specification and all costs associated with the installation of synchronizing equipment, which is to be reviewed by Entergy Transmission. The NUG shall provide an automatic or semiautomatic synchronizing scheme to prevent the closing of its circuit breaker when the two electrical systems are out of synchronism. This scheme will also prevent the NUG from closing its circuit breaker when Entergy's circuit is de-energized. The NUG-furnished synchronizing scheme shall consist of the following (or a functionally equivalent scheme acceptable to Entergy) as a minimum:

1. Synchronizing Switch - To supervise the circuit breaker closing circuit and activate the synchroscope and the synchronizing relay as described below. This switch must be closed (ON) before the circuit breaker can be closed.

2. Synchroscope - This meter provides a visual indication of the relative synchronism between the two electrical systems. The meter is activated by the synchronizing switch and is only operational prior to the actual closing of the circuit breaker.

3. Synchronizing Relay (e.g., Basler Automatic Synchronizer BE1-25A or equivalent)-This relay may be used to automatically connect a generator or to supervise the circuit breaker closing circuit to only allow manual closing when the generator is synchronized to the electrical system.

3.1.4 Revenue Metering Requirements

1. For customers classified as Exempt Wholesale Generators (EWG), interconnection requires bi-directional meters be installed at the point of interconnection (Attachment 'A') in order to measure the facility's net export/import quantities. For those cases where metering transformers are not installed at the point of interconnection, the meters must be installed to compensate for losses to the point of interconnection. For installations with two or more points of interconnection, the bi-directional meters must be totaled to provide net export/import quantities. Alternative

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

DESIGN STANDARD

Title:	**Non-Utility Generator Interconnection Requirements Standard**	Standard No.: **PM3901, Rev. 02**	Effective Date: **15-Jan-2000**

metering configurations will be considered on a case-by-case basis. Meters installed at interconnections to EWG facilities must be capable of measuring and telemetering the following data to the Entergy System Operations Center (SOC) through a remote terminal unit as specified in section 3.1.5.2:

a. Instantaneous MW & MVAR flow from EWG to Transmission System
b. Instantaneous MW & MVAR flow from Transmission System to EWG
c. Integrated MW-Hours from EWG to Transmission System (hourly)
d. Integrated MW-Hours from Transmission System to EWG (hourly)
e. Integrated MVAR-Hours from EWG to Transmission System (hourly)
f. Integrated MVAR-Hours from Transmission System to EWG (hourly)

2. Qualified Cogeneration facilities may sell electrical energy equivalent to the facility's generator output at the time of the sale. For these customers, metering equipment must be capable of accurately measuring and telemetering net energy flows across the interconnection(s) as well as gross generation for the entire range of possible operating scenarios. Therefore, in order to measure the facility's gross generation and net export/import quantities, interconnection of a QF requires bi-directional meters to be installed at the point of interconnection and single-direction meters at the generator output(s). For those facilities at which metering transformers are not installed at the point of interconnection, the meters must be installed to compensate for losses up to the point of interconnection. For installations with two or more points of interconnection, the bi-directional meters must be totaled to provide net export/import quantities. For facilities with two or more generators, the meters must be installed to provide individual unit telemetry as well as gross generation quantities. One or more sets of metering may be required to measure gross generation, depending upon the configuration of the QF facilities. See Attachment "B". Meters installed at interconnections to QF facilities, must be capable of measuring and telemetering the following data to the Entergy System Operations Center (SOC) through a remote terminal unit as specified in section 3.1.5.2:

a. Instantaneous MW & MVAR flow from customer to Transmission System
b. Instantaneous MW & MVAR flow from Transmission System to customer
c. Integrated MW-Hours from customer to Transmission System (hourly)
d. Integrated MVAR-Hours from customer to Transmission System (hourly)
e. Integrated MW-Hours from Transmission System to customer (hourly)
f. Integrated MVAR-Hours from Transmission System to customer (hourly)

3. Meters installed at generator(s) of QF facilities, must be capable of providing, including telemetry to Entergy's SOC, the following quantities:

a. Instantaneous MW & MVAR flow from customer generation (each generator or gross generation, dependent upon configuration)

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

DESIGN STANDARD

Title:	**Non-Utility Generator Interconnection Requirements Standard**	Standard No.: **PM3901, Rev. 02**	Effective Date: **15-Jan-2000**

b. Integrated MW-Hours from customer generation (hourly)- (gross generation, totaled if required)
c. Integrated MVAR-Hours from customer generation (hourly)- (gross generation, totaled if required)

4. For QF customers who have entered into an "avoided cost only" energy sales contract with Entergy (no wholesale or third party energy sales permitted), interconnection requires bi-directional metering be installed at the point of interconnection only, in order to measure the facility's net export/import quantities. For those cases where metering transformers are not installed at the point of interconnection, the meters must be installed to compensate for losses to the point of interconnection. For installations with two or more points of interconnection, the bi-directional meters must be totaled to provide net export/import quantities. Meters installed at NUG facilities must be capable of providing, including telemetry to Entergy's SOC, the following quantities:

   a. Instantaneous MW &MVAR flow from customer to Transmission System
   b. Instantaneous MW & MVAR flow from Transmission System to customer
   c. Integrated MW-Hours from customer to Transmission System (hourly)
   d. Integrated MVAR-Hours from customer to Transmission System (hourly)
   e. Integrated MW-Hours from Transmission System to customer (hourly)
   f. Integrated MVAR-Hours from Transmission System to customer (hourly)

5. For multi-party interconnections, separate bi-directional metering must be provided for each non-Entergy party at the mutual interconnection point. Additional metering shall be installed as specified in sections 3.1.4.1 – 3.1.4.4.

6. The NUG shall be responsible for all costs associated with the design, specification, calibration and installation of meter equipment required for interconnection to the Entergy transmission system. In addition, the NUG shall be responsible for all ongoing maintenance costs specified in the applicable approved tariffs. In the event of a modification that increases the generation capacity of the NUG facility, the NUG shall also be responsible for all costs associated with metering equipment upgrades necessary to obtain the required metering accuracy over the range of power expected to be exchanged.

7. For NUG's with multiple interconnection points, each individual point of interconnection shall have a separate revenue quality, bi-directional meter. Each interconnection point shall have a buy/sell agreement, either separately or combined (totaled meters), to be specified by Entergy Transmission, dependent upon the configuration of the NUG's facilities and interconnections.

8. For all NUG facilities, Entergy shall specify, own and maintain the revenue metering equipment, including meters and current transformers. All revenue meters shall be of "metering accuracy" class meeting the requirements of ANSI C12.1. Unless otherwise agreed upon, voltage transformers shall be owned and maintained by Entergy. A dedicated winding of a customer-owned voltage transformer, as specified by Entergy, may be acceptable. Unless otherwise

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

DESIGN STANDARD

Title:	Non-Utility Generator Interconnection Requirements Standard	Standard No.: PM3901, Rev. 02	Effective Date: 15-Jan-2000

agreed upon, Entergy shall purchase, install, and test the instrument transformers and control cables. If the instrument transformers are to be located at the NUG's facility, agreements may be reached to allow the NUG to purchase and/or install the instrument transformers and/or cables, as per Entergy specifications. Entergy shall purchase the metering panels, program the meters, terminate all cabling, and test the meter installation. The NUG shall be responsible for all costs associated with metering equipment upgrades necessary to obtain the required metering accuracy over the range of power expected to be exchanged (special high-accuracy current transformers may be required, for example).

9. The NUG shall provide routine maintenance access to metering equipment for Entergy personnel as requested by Entergy Transmission. The NUG shall be responsible for providing, at the NUG's expense, any special equipment and/or training necessary to access metering equipment inside of its facilities.

3.1.5 Communication Requirements

1. NUG's connected to the Entergy transmission system shall maintain operating communications between Entergy's system dispatcher or his designated representative and NUG operations personnel via standard voice and facsimile capabilities utilizing the public telephone network, provided at the NUG's expense. The operational communications shall include, but not be limited to, system paralleling or separation, scheduled and unscheduled shutdowns, equipment clearances and hourly and daily load schedules and reports. At the discretion of Entergy Transmission a dedicated ring-down telephone circuit may be required. Additionally, a standard voice telephone line (or extension) is required to the meter panel(s) for dial-up modem access to meter data (modem included in meter panel).

2. A dual ported GE Harris D20 RTU (Remote Terminal Unit) or Entergy approved equivalent data collection and transfer equipment shall be installed and maintained at the NUG's expense to gather accumulated and instantaneous data to be telemetered to specified Entergy facilities. As determined by Entergy Transmission some NUG facilities may require more than one RTU. Two dedicated 4-wire, full-duplex, data quality communications circuits, operating at 1200 baud (or other baud rates as specified by Entergy) and Entergy approved telephone switching equipment shall be installed and maintained at the NUG's expense in order to communicate with the host computer systems at Entergy's applicable Transmission Operations Center (TOC) and Entergy's Systems Operations Center (SOC). The communication protocol for the links will be specified by Entergy Transmission. Unless otherwise agreed, the RTU(s) shall be purchased, configured and tested by Entergy and installed, maintained and owned by the NUG.

3. The following quantities shall be telemetered directly to the Entergy Systems Operation Center (SOC) and the applicable Entergy Transmission Operations center for NUGs with a rated generator output of 1 MW or more (or as permitted by applicable regulations):

   a. At interconnection point(s): Metering data as specified in sect. 3.1.4.
   b. At generator(s): Metering data as specified in sect. 3.1.4

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

DESIGN STANDARD

Title:	Non-Utility Generator Interconnection Requirements Standard	Standard No.: PM3901, Rev. 02	Effective Date: 15-Jan-2000

c. Transmission system voltage at the point of interconnection(s).
d. Customer output breaker status (open/closed).
e. Motor-operated disconnect status (open/closed).
f. High voltage transmission bus voltage

4. This data will be input into the SOC host computer systems to assist in the performance of various system operational functions, such as billing, load forecasting, generation scheduling and maintenance, contingency analysis, and training. Telemetry equipment shall be designed, specified and installed to accommodate an energy imbalance settlement period of 10 minutes and a voltage control period of 3 sec. In addition, the NUG shall provide the applicable Entergy Transmission Operations Center with open/close control of the visible disconnect device specified in section 3.1.2.3.

3.2 Operating Agreement

The NUG should be advised that prior to placing his facility in service, an Operating Agreement must be written, and then signed by officers of both parties. This agreement may be part of the contract for service, or may be a separate agreement. This agreement will ensure that there is no misunderstanding regarding the authority or responsibilities of the parties involved.

4.0 References

1. IEEE Guide for Protective Relaying of Utility-Consumer Interconnection C37.95 (Latest revision)
2. Operating Company Agreements
3. Distribution System Cogeneration Standard No. DR07-01
4. Entergy Point To Point Transmission Service Tariff
5. Customer-Owned Substations Standard No. ML0500
6. Entergy Transmission Business Policy

5.0 Responsibilities

5.1 Interpretation

Interpretation of this standard is the responsibility of the Entergy Transmission Engineering & Construction Department, System Protection. Questions should be directed to the author.

5.2 Deviation

The Manager, Transmission Design-System Protection and Control, is responsible for assuring that all requirements are followed in accordance with this standard. Deviations from this standard may be made only with the consent of the Manager, Transmission Design-System Protection and Control or an approved agent thereof. Any deviation granted shall be

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc
All Rights Reserved

DESIGN STANDARD

Title:	**Non-Utility Generator Interconnection Requirements Standard**	Standard No.: **PM3901, Rev. 02**	Effective Date: **15-Jan-2000**

reported to the Director of Engineering & Construction for consideration for inclusion in the standard. No other employee is granted independent authority to grant deviations.

6.0 Attachments

1. EWG Metering Configuration
2. QF Metering Configuration

7.0 Revisions

Index of Revisions

Revision Number	Revised Sections/Subsections	Revised Date
1	11Title & Sections: 1.2; 2.0; 3.1.1.1, 3, 4, 5, 6, 7, 8; 3.1.2.7; 3.1.4.1, 2, 3; 3.1.5.2; 4.4	17-Sept-96
2	Titles, Sections1.2,, 2.0, 3.1, 3.1.2, 3.1.3, 3.1.4, 3.1.5, 3.2, 5.0; Revised and reformatted	15-Jan-2000

8.0 Acknowledgments

None.

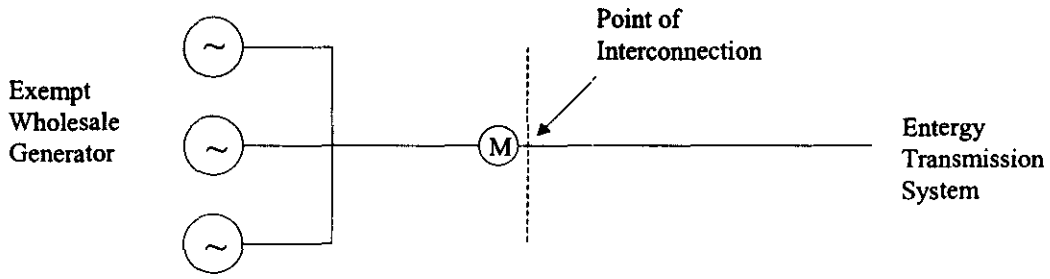
This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc
All Rights Reserved

DESIGN STANDARD

Title:	**Non-Utility Generator Interconnection Requirements Standard**	Standard No.: **PM3901, Rev. 02**	Effective Date: **15-Jan-2000**

Attachment A
Exempt Wholesale Generator
Interconnection Meter Requirements



This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

Issued by: J.P. Zimmerman III
Manager, Transmission Policy

Effective: April 7, 2000

Issued on: November 1, 2000

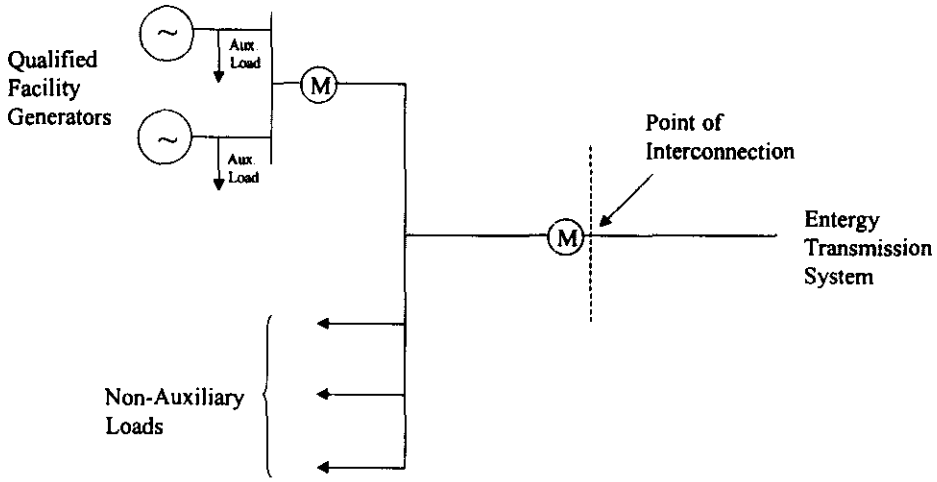
Filed to comply with order of the Federal Energy Regulatory Commission, Docket Nos. ER00-2132-001 and ER00-2132-002, issued October 30, 2000, 93 FERC ¶ 61,108 (2000).

DESIGN STANDARD

Title:	**Non-Utility Generator Interconnection Requirements Standard**	Standard No.: **PM3901, Rev. 02**	Effective Date: **15-Jan-2000**

Attachment B
Qualified Co-generation Facility
Interconnection Meter Requirements

Multi-Generator Facility w/ Separate Load Bus



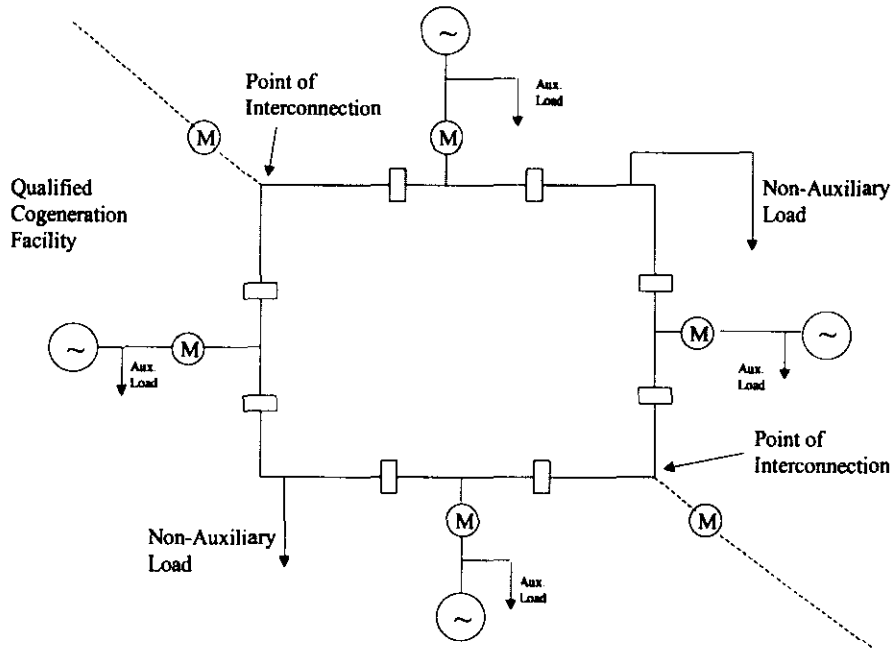
This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc
All Rights Reserved

DESIGN STANDARD

Title:	**Non-Utility Generator Interconnection Requirements Standard**	Standard No.: **PM3901, Rev. 02**	Effective Date: **15-Jan-2000**

Ring-Bus, Multi-Generator, Multi-Interconnection Facility



This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

INTERCONNECTION AND OPERATING AGREEMENT

THIS INTERCONNECTION AND OPERATING AGREEMENT (the "Agreement") is made this 6th day of April, 2000 by and between Calcasieu Power, LLC, a limited liability company existing under the laws of the State of Delaware, sometimes hereinafter referred to as "Customer," and Entergy Gulf States, Inc., a corporation organized and existing under the laws of the State of Texas, sometimes hereinafter referred to as "Company." Customer and Company are referred to individually as a "Party" and collectively as the "Parties."

WITNESSETH:

WHEREAS, Customer intends to construct, own and operate the Facility for the generation and sale of electric energy for resale in Sulphur, Parish of Calcasieu, Louisiana; and

WHEREAS, the Facility is located near the transmission facilities of Company; and

WHEREAS, Customer has requested and Company has agreed to enter into an interconnection agreement with Customer in order to facilitate access to the Company's transmission system;

NOW THEREFORE, in consideration of and subject to the mutual covenants contained herein, it is agreed:

ARTICLE I - DEFINITIONS

Whenever used in this Agreement, Appendices and attachments hereto, the following terms shall have the following meanings:

Affected Party - shall have the meaning given to it in Section 3.2.c of this Agreement.

Affiliate – With respect to a Party, any other person or entity (other than an individual) that, directly or indirectly through one or more intermediaries controls, is controlled by, or is under common control with, such person or entity. For purposes of the foregoing definition, "control" means the direct or indirect ownership of five percent (5%) or more of the outstanding capital stock or other equity interests of the entity having ordinary voting power.

Company – Entergy Gulf States, Inc., a corporation organized and existing under the laws of the State of Texas.

Company Interconnection Facilities – Those certain facilities presently in place or presently

proposed to be installed on Company's side of the Point of Interconnection, which facilities are required to interconnect the Customer Interconnection Facilities to Company's Transmission System and were installed or will be installed by Customer at Customer's expense, but will be owned, operated and maintained by Company, but at Company's expense, and which facilities are set forth in Appendix A of this Agreement. Company Interconnection Facilities shall not include upgrades or improvements made or proposed to be made to serve facilities other than the Facility, customers other than Customer or to expand or improve the Company's Transmission System.

Company's Non-Utility Generator Interconnection Requirements – The Company's Non-Utility Generator Interconnection Requirements Standard attached hereto as Appendix E.

Company's Transmission System – The transmission facilities owned by Entergy Gulf States, Inc. and included within the provisions of the Company's Open Access Transmission Tariff on file with the Federal Energy Regulatory Commission.

Customer Interconnection Facilities – All facilities required to interconnect the Facility to Company's Transmission System to be installed, owned, operated and maintained by Customer, at Customer's expense, on Customer's side of the Point of Interconnection, and which facilities are set forth in Appendix A of this Agreement.

Emergency - a condition or situation that in the sole reasonable judgment of Company (1) presents an imminent physical threat of danger to life, or threat to health or property or (2) could cause a disruption on or damage to Company's Transmission System or the facilities of other entities to which Company's Transmission System is directly or indirectly connected; provided, however that the inability of Company to meet its load requirements because of insufficient generation resources shall not constitute an Emergency.

Facility – The proposed Customer owned 348 MW electric generation facility which is to be located in Sulphur, Parish of Calcasieu, Louisiana.

FERC – The Federal Energy Regulatory Commission and any successor(s) to its authority.

Generator Imbalance Service – Resources available to Customer, within Company's control area that are capable of supplying, in real time, any deviations between Customer's generation

schedules and the actual deliveries of electricity to Company's Transmission System by Customer.

Good Utility Practice - shall mean any of the practices, methods and acts engaged in or approved by a significant proportion of the electric utility industry during the relevant time period, that, at a particular time and in the exercise of reasonable judgment in light of the facts known at the time the decision was made, could have been expected to accomplish the desired result at the lowest reasonable cost consistent with reliability, safety and expedition and in compliance with law, regulations, codes, standards, and equipment manufacturer's recommendations. Good Utility Practice is not intended to be limited to the optimum practice, method or act to the exclusion of all others, but rather to be a spectrum of acceptable practices, methods or acts.

ISO Conditions - Zero feet above mean sea level, fifty-nine (59) degrees Fahrenheit, sixty per cent (60%) relative humidity.

Lagging Power Factor – The Power Factor when current lags voltage making the circuit inductive and a generator is therefore producing vars.

Leading Power Factor – The Power Factor when current leads voltage making the circuit capacitive and a generator is therefore absorbing vars.

Lender – Any entity or entities providing financing for the Facility, including any assignee or successor thereto, and its directors, officers, agents and employees.

Metering Point – the location(s) of metering equipment necessary to meet the Parties' obligations under this Agreement, as shown in Appendix A.

MW – megawatt.

NERC - The North American Electric Reliability Council, or any successor agency assuming or charged with similar responsibilities related to the operation and reliability of the North American interconnected electric transmission grid.

OATT – A FERC approved Open Access Transmission Tariff.

Operation Date - The day commencing at 00:01 hours, following the day during which Customer Interconnection Facilities have been completed to Company's and Customer's mutual satisfaction pursuant to the requirements of this Agreement and energized in parallel operation of Company's and

Customer's systems as confirmed in writing.

Point of Interconnection - The point, shown in Appendix A, where the Customer Interconnection Facilities interconnect with the Company's Transmission System.

Power Factor – The number equal to cosine theta where theta is the angle of impedence between voltage and current.

SERC - The Southeastern Electric Reliability Council, or any successor agency assuming or charged with similar responsibilities related to the operation and reliability of the southeastern portion of the North American interconnected electric transmission grid.

System Protection Facilities - The equipment required to protect (1) Company's Transmission System and its customers from faults occurring at Customer Interconnection Facilities or the Facility, and (2) Customer Interconnection Facilities or the Facility from faults occurring on Company's Transmission System or on the systems of others to which Company's Transmission System is directly or indirectly connected.

System Upgrades - Those upgrades or improvements to Company's existing transmission system as specified in Appendix B that are necessary to interconnect the Facility to Company's Transmission System. System Upgrades shall not include upgrades or improvements made or proposed to be made to serve facilities other than the Facility, customers other than Customer or to expand or improve the Company's Transmission System.

ARTICLE II - TERM OF AGREEMENT

2.1. This Agreement shall be binding upon execution, shall remain in effect for a term of thirty-five (35) years from the Operation Date, and shall renew thereafter for succeeding five (5) year terms; provided, that during or with respect to any renewal term either Company or Customer may terminate this Agreement by giving at least one (1) year's written notice to the other conditioned upon such termination being consistent with applicable law and regulation.

2.2. If at any time prior to the Operation Date Customer notifies Company that it has elected not to proceed with the development, construction or installation of the Facility, then upon receipt of such notice Company shall discontinue further work with respect to the engineering, procurement,

construction and/or installation of the Company Interconnection Facilities and System Upgrades, provided, however, that Company shall complete or undertake, at Customer's expense, that work, if any, necessary to return Company's Transmission System to a condition in which it can be operated in a reliable manner and in accordance with Good Utility Practice. Customer shall reimburse Company, in accordance with Section 5.3, for the actual and documented costs incurred by Company in connection with such engineering, procurement, construction and/or installation prior to Customer's notice to discontinue further work and in completion of that work, if any, necessary to return Company's Transmission System to a condition in which it can be operated in a reliable manner and in accordance with Good Utility Practice. Upon such reimbursement, Company shall transfer to Customer all materials and equipment for which Customer has made payment and which have not otherwise been used or installed in connection with the construction and/or installation of the Company Interconnection Facilities and System Upgrades and completion of that work, if any, necessary to return Company's Transmission System to a condition in which it can be operated in a reliable manner and in accordance with Good Utility Practice.

ARTICLE III - CONSTRUCTION

3. 1. Land Rights. Customer agrees to furnish at no cost to Company all necessary rights of way upon, over, under, and across lands owned or controlled by Customer and/or its Affiliates for the construction and operation of the Company Interconnection Facilities and System Upgrades pursuant to this Agreement, if any, in locations as mutually agreed to by Company and Customer and in locations such as not to interfere with the facilities or operations of Customer and its Affiliates, and Customer shall, at all reasonable times, give Company, or its agents, free access to such rights of way. Customer grants to Company at all reasonable times, upon prior reasonable notice (except in an emergency situation), the right of free ingress and egress to Customer's premises or its Affiliate's to the extent necessary for the purpose of (a) installing, testing, reading, inspecting, repairing, operating, altering or removing any of the Company Interconnection Facilities and/or System Upgrades located on Customer's premises, (b) for such other purposes as necessary to enable Company to receive electric energy or suspend the receipt thereof from Customer's Facility pursuant to the terms of this Agreement,

or (c) determine Customer's compliance with this Agreement. If any part of the Company Interconnection Facilities or System Upgrades are to be installed on property owned by other than Company or Customer, Customer shall, if Company is unable to do so without cost to Company, procure from the owners thereof all necessary permanent rights of way and easements, in a form satisfactory to Company, for the construction, operation, maintenance and replacement of the Company Interconnection Facilities or System Upgrades. In the event Customer is unable to secure such rights of way and easements, Customer shall reimburse Company for all costs incurred by Company in securing such rights by condemnation proceedings or other means. In connection with Company's exercise of rights under this Section 3.1, while on Customer's or its Affiliates' premises, Company's personnel and agents shall exercise such rights in a manner so as not to interfere with the facilities or operations of Customer or its Affiliates, and shall comply with all applicable safety rules or regulations of Customer that are communicated in writing by Customer to Company and any safety instructions communicated to Company's personnel either verbally or in writing while they are on Customer's or its Affiliates premises. Company currently expects to install all System Upgrades on Company property, rights of way, or easements. If it becomes necessary to install any part of the System Upgrades on property owned by others than Company, Company shall notify Customer of such additional property requirements as soon as practicable.

3.2. Facility and Equipment Design and Construction

a. Unless Customer provides notice pursuant to Section 2.2. hereof of its intent not to proceed with the development, construction or installation of the Facility, Customer shall be obligated to design, construct, install, own, operate and maintain the Customer Interconnection Facilities. The design, construction, installation, ownership, operation, and maintenance of the Customer Interconnection Facilities shall comply with the Company Non-Utility Generator Interconnection Requirements Standard and shall meet all requirements of applicable safety and/or engineering codes, and further, shall meet all requirements of any duly constituted regulatory authority having or asserting jurisdiction over such facilities, as specified by Company pursuant to this Section 3.2. **However, in Instances where the Company Non-Utility Generator Interconnection Requirements Standard is**

inconsistent with and/or conflicts with the provisions of this Agreement, the terms and/or provisions of this Agreement will be controlling in determining the parties' rights and obligations. The Facility shall meet all requirements of applicable law including any safety or other codes required by any duly constituted regulatory authority having jurisdiction.

b. Each Party agrees to make changes to the facilities on its respective side of the Point of Interconnection at its own cost as may be reasonably required to cause such facilities to meet the standards set forth in this Agreement in response to (i) changes in law or regulation, or (ii) changes in Company's Transmission System required to maintain reliability and/or safety of Company's Transmission System. Each Party agrees to give the other Party sufficient advance written notice of the time such changes to the other Party's facilities are to be completed to allow a reasonable opportunity for the other Party to accomplish the necessary changes. Contemporaneous with such notice, the Party shall supply complete engineering information and specifications to the other Party for use in determining what changes will be necessary to the facilities on the other Party's side of the Point of Interconnection. The other Party shall have the right to provide comments with respect to such specifications, and each Party agrees to reasonably consider and accommodate the other Party's comments or suggested revisions.

c. Company shall design, permit, install, operate, maintain and own the System Upgrades. The System Upgrades shall be designed and constructed at Customer's expense. Company's design for the System Upgrades shall not contain or reflect any areas of real property not necessary for the interconnection of the Customer Interconnection Facilities and Company's Transmission System. In the event that Company's design for the System Upgrades contain or reflect any facilities, equipment or components not necessary for the interconnection of the Customer Interconnection Facilities and Company's Transmission System, Company shall be responsible for and pay any difference in costs or expenses, including, but not limited to construction costs and expenses, between those facilities, equipment or components necessary for the interconnection of the Customer Interconnection Facilities and Company's Transmission System and those facilities, equipment or components contained or reflected in Company's design for the System Upgrades. Company shall

provide Customer with a project description, estimated project cost, and proposed schedule for the design and construction of the System Upgrades pursuant to the standards set forth in this Agreement (including the date for completion of such facilities set forth in this Section 3.2.c below) no later than thirty (30) days after execution of this Agreement. Company shall provide Customer with its best estimate of any revisions to such description, budget and schedule (provided that the scheduled date for completion shall be no later than April 20, 2000 for the design and construction of the System Upgrades) within thirty (30) days after execution of this Agreement. Company understands that time is of the essence in the construction of such facilities and Company shall use reasonable efforts to complete construction of the System Upgrades by April 20, 2000. Company shall timely advise Customer of alternatives it identifies to reduce the scheduled time for such construction by the payment of additional costs or otherwise. Company shall promptly provide Customer with any material revisions in such description, budget or schedule, but in any event, no less than thirty (30) days prior to initiating any work covered by such revision. Customer shall within fifteen (15) days after receipt provide Company with any comments or proposed revisions to such description, or budget, or schedule estimate. Company shall use reasonable efforts to address and accommodate the comments received from Customer pursuant to this Section 3.2.c, provided that Company shall reserve the final judgment with respect to any such matters, which judgment shall be reasonably exercised by Company. Company shall not commence detailed design or construction of any System Upgrades prior to receiving written authorization to proceed from Customer. Company shall use due diligence and take all reasonable actions necessary to complete and place in service, or cause to be completed and placed in service, the System Upgrades on or before April 20, 2000, or such earlier date as set forth in Company's schedule provided under this Section 3.2. Company shall be reimbursed by Customer for all reasonable costs incurred by Company in performing its work under this Section 3.2.c. as provided in Section 5.3. If Customer reasonably determines that Company is failing to use due diligence to complete the System Upgrades pursuant to the detailed design and schedule provided under this Section 3.2, Customer may provide Company with written notice of its determination setting forth in reasonable detail the actions necessary to cure such failure. If, within thirty (30) days after such notice,

Company fails to provide Customer with reasonably satisfactory evidence that it has cured such failure, Customer may, upon ten (10) days' notice to Company, cause the remaining work to be completed in accordance with the design specifications and standards for such work prepared by Company pursuant to this Agreement by an independent contractor selected from the list provided by Company attached hereto as Appendix D, which Appendix is by this reference made a part hereof. Notwithstanding that Customer shall be responsible for paying the independent contractor for completion of the System Upgrades pursuant to this Section 3.2.c, such completion by Customer shall be without prejudice to any other remedies it may have with respect to Company's failure to use due diligence to complete the System Upgrades. Company shall cooperate reasonably with Customer to facilitate the transfer of responsibility for work subject to Customer's exercise of such right, provided that Company shall oversee and supervise all such remaining work performed by the independent contractor, and provided further that Customer agrees to and shall release Company from, and indemnify Company against, any obligations, liabilities, or warranties arising from or related to the work performed by such independent contractor.

d. The Company shall cause the construction of the System Upgrades consistent with all applicable laws and regulations (including any safety or other codes) of any authority having jurisdiction; consistent with the procedures, practices and standards routinely employed by the Company with respect to its construction of its own comparable facilities; and in accordance with Good Utility Practice, including without limitation, any applicable bidding or other cost control procedures. At Customer's request, Company shall provide Customer with a cost accounting setting forth in reasonable detail the expenditures for all necessary facilities and materials comprising the System Upgrades, and any supporting materials evidencing such expenditures.

e. This Agreement is not an agreement between Company and Customer for the provision by Company of transmission service, and Customer (or Customer's power purchaser(s)) will be responsible for arranging all transmission service necessary for deliveries from the Facility across Company's Transmission System.

f. With respect to changes in Customer's requirements related to interconnection

with Company's Transmission System that would not be subject to and handled under Company's then current OATT, at Customer's request, Company shall use due diligence and shall cooperate in good faith to determine what, if any, modifications to the Parties' facilities are required to accommodate a change in Customer's requirements related to interconnection with Company's Transmission System.

h. Testing.

(i) Testing of System Upgrades. Company shall conduct all functional testing and commissioning activities for the System Upgrades as set forth in this Section 3.2.h. Commissioning testing requires a complete functional test of all systems associated with the safe and reliable operation of the System Upgrades. Prior to initial energization, the following systems require complete functional tests to verify their operation: Communications (both locally and at remote locations); Relay and Control (both locally and at remote locations); Telemetry (both locally and at remote locations); Metering (locally); Power circuit breakers (locally); and Station auxiliary service (locally). Prior to functional testing, thorough inspection of all components to be energized shall be conducted to assure their reliable operation once voltage has been applied. Phase agreement shall be inspected visually, and once energized confirmed via voltage measurement. Final commissioning shall consist of sequential energizing of various portions of the System Upgrades until all of the System Upgrades are energized. Upon such complete energization, those portions of the System Upgrades which could not be adequately tested in the de-energized state shall undergo functional testing to verify their proper operation. Prior to the energizing of any component of the System Upgrades, Customer reserves the right to inspect and witness any necessary proof testing of any portion of the System Upgrades which could adversely impact operation of Customer's Interconnection Facilities or the Facility. Should any unusual condition or test result create a concern on the part of Customer, Customer reserves the right to require resolution prior to

energization of the System Upgrades. Following the conclusion of successful commissioning and testing procedures as set forth above with respect to the System Upgrades, Company shall notify Customer and promptly thereafter, Company and Customer shall inspect the System Upgrades and review any appropriate documentation, and shall identify any outstanding items which may require additional attention by either or both of the Parties. Upon completion of such outstanding items which are necessary for the System Upgrades, Company shall notify Customer of the in-service dates for the System Upgrades (i.e., the date upon which such are tested and ready for operation up to their maximum design rating).

(ii) Functional Testing of Customer Interconnection Facilities. Prior to the energizing of any component of the Customer Interconnection Facilities, Company reserves the right to inspect and witness any necessary proof testing of any portion of the Customer Interconnection Facilities which could adversely impact operation of Company's Transmission System. This shall include but not be limited to: (i) the Customer Interconnection Facilities; (ii) all protective relay and control schemes between the generator breakers and Company's Transmission System; (iii) all telemetry / data collection systems which would provide pertinent data back to Company's transmission control center; and (iv) all metering installations. Should any unusual condition or test result create a concern on the part of Company, Company reserves the right to require resolution prior to energization of the Customer Interconnection Facilities.

(iii) Testing of Facility. Prior to the start of any functional testing activity, the Facility shall be properly commissioned and made ready for service. Facility commissioning requirements should address safe and reliable operation of all generator step-up transformers as well as the Facility's auxiliary power system. Prior to the start of any functional testing of the Facility, coordination with

Company's Transmission System coordinator will be required, including the scheduling of any electric energy output. During functional start-up and testing of any generation unit, should Customer desire any special switching of Company's Transmission System to mitigate any exposure the Facility might have from, or impact it might have on, the Company's Transmission System, a request for such switching shall be made by Customer. This request must be received by Company no later than three (3) days prior to the week when such switching will be required. Company shall accommodate such request if, in its reasonable judgment, such action will not adversely affect the Company's Transmission System or service to Company's other customers.

3.3 Metering. Customer shall provide and install, and Company shall own and maintain metering equipment necessary to meet the obligations in this Agreement. If necessary, metering shall be either located or adjusted, at Company's option, in such manner to account for any transformation or interconnection losses. Metering quantities, in digital form, will be provided to Customer in real time. All costs associated with either the initial installation of metering, as more fully described in Appendix C hereto, a copy of which is attached and made a part hereof, or any changes to metering requested by Customer shall be borne by Customer. Customer shall provide, install, own and maintain metering necessary to meter the output of the Facility's generation.

ARTICLE IV - OPERATION

4.1. Operations. Upon completion, testing and acceptance of the Customer Interconnection Facilities, the Company Interconnection Facilities and the System Upgrades pursuant to Section 3.2. of this Agreement, and subject to the other terms and conditions of this Article IV, Company shall operate and maintain the Company Interconnection Facilities and the System Upgrades in accordance with Good Utility Practice and all applicable laws and regulations. In the event that the System Upgrades are not completed by the date upon which Customer wishes to synchronize the Facility with Company's Transmission System, Customer shall nonetheless be allowed to synchronize the Facility and deliver

energy to Company's Transmission System, but only to the extent, as determined by Company in its reasonable judgment, Company's Transmission System can accept such energy.

4.2. Reliability. The Company and Customer agree that the implementation of this Agreement shall comply with the then existing (or amended) manuals, standards, and guidelines of the NERC and/or SERC. To the extent that this Agreement does not specifically address or provide the mechanisms necessary to comply with such NERC or SERC manuals, standards, or guidelines, the Company and Customer hereby agree that each Party shall provide to the other Party all such information as may reasonably be required to comply with such manuals, standards, or guidelines and shall operate, or cause to be operated, their respective facilities in accordance with such manuals, standards, or guidelines.

4.3 Reactive Power.

a. Voltage Schedule. Company's System Dispatcher or designated representative shall provide Customer with a voltage schedule to be maintained by Customer at the Point of Interconnection during any period that one or more of the Facility's generating units are synchronized with Company's Transmission System and Customer is delivering electric energy to Company at the Point of Interconnection ("Voltage Schedule") as follows:

(i) Except (a) in an Emergency, or (b) with the prior consent of both Company and Customer, the Voltage Schedule shall be in effect for the following ninety (90) day period;

(ii) The Voltage Schedule shall be provided to Customer not less than five (5) days prior to the start of such ninety (90) day period;

(iii) The Voltage Schedule shall not require Customer to operate any of the Facility's generating units outside of a range of between a ninety-seven percent (0.97) Leading Power Factor and a ninety-five percent (0.95) Lagging Power Factor at the Point of Interconnection ("Nominal Power Factor Range"); and

(iv) The Voltage Schedule shall be consistent with the voltage schedules prescribed by Company's System Dispatcher or designated representative for other

generators that are similarly situated and located in an area with similar voltage conditions (including, but not limited to, Company's generators) on Company's Transmission System. Records of request made by the Company Dispatcher, and records indicating actual responses to these requests, will be maintained by Company and subject to third party independent audit at Customer's request and expense. Any such request for an audit will be presented to Company by Customer no later than twenty-four (24) months following a request by the Company Dispatcher that the Facility produce its maximum available reactive power output.

b. Under normal operating conditions, Customer shall operate the Facility to maintain a voltage schedule at the Point of Interconnection as prescribed by the Company's System Dispatcher or designated representative The Facility power factor design limitations shall have reactive power capability sufficient to maintain at the Point of Interconnection a power factor between 0.97 leading and 0.95 lagging. In the event that, under normal operating conditions, the Facility does not maintain at the Point of Interconnection a power factor between 0.97 leading and 0.95 lagging, Customer shall take other steps, such as the installation of static and/or dynamic reactive power compensating devices, required to achieve the prescribed power factor.

c. During an Emergency on the Company Transmission System or during an Emergency declared by an adjacent system dispatcher or authorized independent system operator, Company's System dispatcher or designated representative has the authority to request Customer to redispatch the MVAR output of the Facility's generating units (which may result in the redispatch of the MW output of the Facility) then synchronized with Company's Transmission System and delivering electric energy to Company at the Point of Interconnection into the Entergy system during the period that Customer has scheduled deliveries of electric energy to Company at the Point of Interconnection in order to maintain system security, provided, however, all such requests for redispatch shall be requested on a non-discriminatory basis with all other generators connected directly or indirectly to Company's Transmission System, recognizing that an Emergency may be localized and require

redispatch only within the local area affected by the Emergency. So long as honoring such request will not threaten imminent harm to persons, property or the Facility, the Facility operator will honor such request within the design limitations of the Facility's generating units then synchronized with Company's Transmission System, such that the security of the Company's Transmission System is maintained. Company shall restore conditions to normal as quickly as possible to alleviate any such Emergency and eliminate any such redispatch.

d. Voltage Support Compensation. Company agrees that Customer, by providing reactive support and voltage control pursuant to this Section 4.3, provides value to Company's Transmission System. Company further agrees to compensate Customer for providing such reactive support and voltage control service as follows:

i. In the event that the FERC, or any other applicable regulatory authority, issues an order or approves a tariff establishing specific compensation to be paid to Customer for reactive support and voltage control service, Company shall pay Customer pursuant to such order or tariff; or

ii. In the absence of such an order or tariff, and subject to any applicable rules and regulations of FERC, Company shall pay Customer an amount equal to the charges required to be paid under Rate Schedule 2 (Reactive Supply and Voltage Control from Generation Sources Service) of Company's OATT to reflect the contribution to reactive supply and voltage support from generation sources made by the Customer; provided, however, Customer shall be compensated for providing such reactive support and voltage control service at a rate that is equal to the highest rate Company, its successors and assigns pay for reactive power and voltage control to any other similarly situated generator.

e. Without limiting the rights and obligations set forth in this Section 4.3, Customer shall maintain all rights to sell generation from its facilities as Ancillary Services, as defined by FERC Order 888, and similar orders. Company or its affiliates may purchase such Ancillary Services from Customer, to the extent allowed, but Company shall have

no rights absent Customer's agreement to utilize Customer's Facility for meeting Company's, or its affiliates, Ancillary Services obligations.

4.4. Protection. It shall be Customer's obligation, at its expense, to install or have installed and keep operative System Protection Facilities, including such protective and regulating devices as are identified by order, rule or regulation of any duly constituted regulatory authority having jurisdiction, or as are otherwise necessary to protect personnel and equipment and to minimize deleterious effects to Company's system, all in accordance with the provisions of this Agreement and as specified pursuant to Section 3.2. Any such protective or regulating devices that may be required for the System Upgrades shall be installed by Company at Customer's expense pursuant to this Agreement. In such event, Company shall furnish to Customer a detailed description and its preliminary estimate of the itemized expected budget for such protective and regulatory devises, and supporting documentation for the necessity therefor and any expenditures in connection therewith.

a. Requirements for Protection. Customer shall provide relays, circuit breakers, and all other devices necessary to promptly remove any fault contribution of Customer's generating equipment to any short circuit occurring on Company's Transmission System not otherwise isolated by Company equipment. Such protective equipment shall include, without limitation, a disconnecting device or switch with load interrupting capability to be located between Facility and the Company's Transmission System at the point specified in Appendix A hereto or such other accessible, protected, and satisfactory site selected upon mutual agreement of the Parties. Customer shall be responsible for protection of the Customer Interconnection Facilities and the Facility from such conditions as negative sequence currents, over- or under-frequency, sudden load rejection, over-or under-voltage, and generator loss-of-field. Customer shall be solely responsible for provisions to disconnect its generation when a disturbance on the Company's Transmission System results in Customer's generation becoming isolated from Company's Transmission System.

b. Inspection. Company shall have the right, but shall have no obligation or responsibility to (i) observe Customer's tests and/or inspection of any of Customer Interconnection Facilities including any System Protection Facilities maintained by Customer; (ii) review the settings of

Customer's System Protection Facilities; and (iii) review Customer's maintenance records relative to the Customer Interconnection Facilities, including any System Protection Facilities. The foregoing rights may be exercised by Company from time to time as deemed necessary by the Company upon reasonable notice to Customer. However, the exercise or non-exercise by Company of any of the foregoing rights of observation, review or inspection shall be construed neither as an endorsement nor confirmation of any aspect, feature, element, or condition of Customer Interconnection Facilities or the operation thereof, nor as a warranty as to fitness, safety, desirability, or reliability of same.

4.5 System Quality.

a. Voltage. Customer's Facility and equipment shall not cause excessive voltage excursions nor cause the voltage to drop below or rise above the extents of the range maintained by Company without Customer's generation. Customer's Facility and equipment shall not cause excessive voltage flicker nor introduce excessive distortion to the sinusoidal voltage or current waves as defined by ANSI Standard C84.1-1989, or any applicable superseding electric industry standard. For voltage flicker in the frequency range of 1 to 25 Hz, voltage flicker levels are unacceptable if either of the following conditions exist: (a) the cumulative RMS voltage flicker at the Point of Interconnection exceeds 0.30% for 1.0% of a representative time period, or (b) the instantaneous voltage flicker level regularly exceeds 0.45% at the Point of Interconnection (this is approximately equal to a cumulative RMS voltage flicker of 0.45% for 0.01% of a representative time period).

b. Power Factor Requirements - The generating units at Customer's Facility shall be rated, at ISO Conditions and at the low voltage side of the generator step-up transformer, to operate with as low as a 85% Lagging Power Factor in control of low voltage and as high as a 95% Leading Power Factor in control of high voltage. Under no circumstances shall Customer be required to operate any of the generating units at Customer's Facility outside the Power Factor requirements set forth in this Section 4.5.b, whether to deliver electric energy onto Company's Transmission System, to maintain voltage at the Point of Interconnection, to provide reactive support to Company's Transmission System or otherwise.

4.6 Redispatch.

a. Emergency Redispatch. If one or more generating units of the Facility are synchronized to the Company's Transmission System during an Emergency, Company's dispatcher or its designated representative may orally, or in writing, notify Customer's operator and, if so requested by Company, Customer's operator shall, during the period that Customer has scheduled deliveries of electric energy to Company at the Point of Interconnection, place the levels of energy capable of being generated by such units within the exclusive control of Company's dispatcher or its designated representative for the duration of such Emergency; and Company's dispatcher or designated representative may require Customer's operator to raise or lower production of energy generated by such units to maintain safe and reliable load levels and voltages on the Company's Transmission System during such Emergency. Notwithstanding the foregoing, any changes in the level of energy capable of being generated by such units shall be implemented in a manner consistent with safe operating procedures and within the design limitations of the unit(s) and applicable laws and regulations. In the event that Company's dispatcher or designated representative shall assume control over the levels of energy pursuant to this Section 4.6.a, Company shall compensate Customer according to FERC approved rates applicable for such Emergency redispatch; provided, however, that the failure to have any such rates shall not be a basis for Customer to refuse or deny such control to Company's dispatcher or designated representative.

b. Non-Emergency Redispatch – Company agrees that, except as expressly provided in Section 4.6.a. above, Company shall not redispatch Customer's Facility, provided that this provision shall not preclude Company from implementing any NERC, FERC, or other reliability region processes, procedures, or protocols.

4.7 Sales of Test Power. If Customer elects to sell such energy generated during Facility testing to a third-party purchaser(s), Customer shall schedule such energy deliveries pursuant to the scheduling procedures of Company's OATT and the provisions of Company's Generator Imbalance Service Tariff then in effect, if any, shall apply to such scheduling and delivery of energy. If Customer elects to sell such energy to Company, Customer shall not be required to schedule such energy

deliveries pursuant to the scheduling procedures of Company's OATT and the provisions of Company's Generator Imbalance Service Tariff then in effect, if any, shall not apply to such delivery of energy.

4.8. Starting and Station Service Power. If the Facility will receive starting and/or station service power (for the Facility's auxiliary electrical requirements only and not for resale) from Company, such power shall be provided pursuant to a separate electric service agreement. Customer shall have the right, when permitted under state or federal law, to obtain Customer's starting and/or station service electricity requirements from a third-party supplier.

4.9. Meters. Company shall, at Customer's expense, inspect and test all Company-owned meters upon their installation and at least once every two years thereafter. If requested to do so by Customer, Company shall inspect or test its meters more frequently than every two years. If such requested inspection or test indicates that Company's meters are registering inaccurately by more than 1%, the expense of such requested inspection or test shall be borne by Company. If such requested inspection or test indicates that Company's meters are registering inaccurately by no more than 1%, the expense of such requested inspection or test shall be borne by Customer. Company shall give reasonable notice of the time when any inspection or test shall take place, and Customer may have representatives present at the test or inspection. If a meter is found to be inaccurate or defective, it shall be adjusted, repaired or replaced at Customer's expense in order to provide accurate metering. If a meter fails to register, or if the measurement made by a meter during a test is found not to be within the accuracy standards established in the most recent revision of Standard C 12.1 of the American National Standard Institute, Incorporated, an adjustment shall be made correcting all measurements made by the inaccurate meter for:

a. the actual period during which inaccurate measurements were made, if the period can be determined, or if not,

b. the period immediately preceding the test of the meter equal to one-half the time from the date of the last previous test of the meter provided, that the period covered by the correction shall not exceed six months.

If hourly and/or daily energy readings are available and if such data are requested by Company,

Customer shall report same to Company's representatives as designated by Company, by telephone, on a schedule to be agreed upon. At Customer's expense, and in accordance with Section 4.9.b and the other standards and requirements of this Agreement, Customer's output information shall be telemetered to the location specified by Company.

4.10. Control Area. Customer reserves the right to designate from time to time, but no more frequently than once each year, all, part or none of its Facility to be located in Company's control area.

4.11. Communications. To the extent communications with Company are required they shall be conducted in accordance with this Section 4.11.

a. At Customer's expense, Customer shall maintain communications equipment for providing operating communications with Company's Transmission System dispatcher or representative as designated by Company in accordance with the standards of this Agreement. Such operating communications shall include, but not be limited to, system paralleling or separation, scheduled and unscheduled shutdowns, equipment clearances, next day forecasted hourly generation levels and hourly and daily load data.

b. A Remote Terminal Unit ("RTU") or other communication method acceptable to both Parties shall be installed by Customer, to gather accumulated and instantaneous data from Company's meters to be telemetered to (i) the location designated by Company, and (ii) the location designated by Customer. The communication protocol for this link will be specified by Company. Instantaneous digital watt and var flow information must be telemetered directly to such locations. RTU equipment shall also be installed or modified, at Customer's expense, to gather accumulated and instantaneous data from Company's meters.

4.12. Disconnection. Company shall have the right to disconnect, without notice, the Customer Interconnection Facilities if, in the Company's reasonable opinion, a hazardous condition exists and immediate disconnection is necessary to protect persons, the Company's Transmission System, the Company Interconnection Facilities, or other customer facilities from damage caused by the Customer Interconnection Facilities and/or the Facility, or the lack of proper or properly operating Customer System Protection Facilities. For purposes of this Section 4.12., Customer System

Protection Facilities may be deemed by Company to be not properly operating if Company's review under Section 4.4.b. discloses, in Company's reasonable opinion, irregular or insufficient maintenance on such devices contrary to Good Utility Practice or that maintenance records do not exist or are otherwise insufficient to demonstrate that adequate maintenance has been and is being performed in accordance with the standards under this Agreement, and Company in its reasonable discretion deems the deficiencies in such maintenance and/or maintenance records to have or to be likely to have a material adverse effect on the Company's facilities or be likely to cause harm to persons or property of Company or its customers. Company shall give Customer such notice as reasonably practicable prior to such disconnection. Company shall (i) use reasonable care and cooperate reasonably with Customer to avoid and minimize interruptions in the acceptance of capacity and energy from the Facility pursuant to this Section 4.12., (ii) keep Customer fully informed as to the anticipated duration of each interruption, and (iii) restore connection and resume acceptance of capacity and energy from Customer as soon as practicable to the extent the condition resulting in the interruption has abated sufficiently to permit such resumption or Company has confirmed to its reasonable satisfaction that despite any deficiencies in Customer's maintenance records, Customer's Interconnection Facilities do not have or are not likely to have a material adverse effect on the Company's Transmission System or the Company Interconnection Facilities, or be likely to cause harm to Company's customers or their property. Any interruption or disconnection of Customer shall be done in accordance with Good Utility Practice and be limited to the extent necessary to effectively relieve the condition necessitating such interruption or disconnection. Such interruption or disconnection shall not be inconsistent with the open access transmission policies of the FERC.

4.13. Continuity of Service. In addition to the rights set forth in section 4.12., above, Company shall have the right, exercisable in accordance with this Section 4.13., to curtail deliveries of energy from Customer or disconnect the Customer Interconnection Facilities: (a) for failure by Customer to comply with the provisions of this Agreement which in Company's reasonable opinion is likely to cause an adverse effect on Company's Transmission System or operations, provided that, Company shall not curtail or disconnect Customer as a result of such noncompliance without providing the Customer

written notice and at least thirty (30) days to cure such noncompliance (or if such non-compliance cannot be cured within thirty (30) days but Customer is diligently working on same, an additional reasonable period provided such extension does not affect the safety or reliability of Company's Transmission System); or (b) to the extent required to:

(i) overcome system reliability problems caused by an Emergency;

(ii) permit installation, repairs, maintenance, construction or inspection of any part of Company's equipment or Company's Transmission System (provided that such installation, repairs, maintenance, construction or inspections which are routine or not essential at a particular time shall be done only during a period as mutually agreed upon by Customer and Company acting reasonably);

(iii) facilitate restoration of line or equipment outages;

(iv) overcome system reliability problems caused by an outage of Company's transmission equipment; or

(v) for any reason otherwise permitted by applicable rules or regulations promulgated by a regulatory authority having jurisdiction over such matters.

Except in case of Emergency, in order not to interfere unreasonably with Customer's operations, Company shall give Customer reasonable prior notice of any curtailment or disconnection, the reason for its occurrence and its probable duration. Company shall (i) use reasonable care to avoid and minimize curtailments or disconnections in the acceptance of capacity and energy, (ii) use reasonable care to coordinate any curtailments or disconnections with scheduled outages or maintenance of the Facility, (iii) keep Customer fully informed as to the anticipated duration of each curtailment or disconnection, and (iv) resume acceptance of deliveries of capacity and energy from Customer as soon as practicable once the condition resulting in the interruption has abated sufficiently to permit such resumption. Any curtailment or disconnection of Customer shall be done in accordance with Good Utility Practice and be limited to the extent necessary to effectively relieve the condition necessitating such curtailment or disconnection. Such curtailment or disconnection shall not be inconsistent with

FERC's open access transmission policies.

4.14 Customer shall contract for and have available to it Generator Imbalance Services. To the extent Customer fails to contract for and provide such generator imbalance service to the satisfaction of Company in its reasonable judgment, Customer shall be deemed to take, and hereby shall acquire and pay for, such generator imbalance service from the Entergy Operating Companies pursuant to the terms and conditions of the standard form of Generator Imbalance Agreement of the Entergy Operating Companies then in effect. In the event that Customer's Facility is not designated as being located within the Entergy Control Area, then Generator Imbalance Service shall not apply.

ARTICLE V - BILLING AND ADJUSTMENTS

5.1. Subject to Section 5.3, notwithstanding any other provision of this Agreement, Customer shall be responsible for and shall reimburse Company for all actual costs incurred by Company consistent with Sections 3.2.c. and 3.2.d. with respect to the design, construction, and installation of the System Upgrades. Any estimates of costs provided under the terms of this Agreement shall be for purposes of forecasting expected costs and shall not be binding on Company.

5.2. Company shall bill Customer monthly in arrears for the costs to be reimbursed to Company under this Agreement. Customer shall pay all amounts due within thirty (30) days after receipt of Company's statement. Company shall provide reasonable documentation supporting Company's statements. In the event Customer fails to make said monthly payments, Company shall have the right to suspend its performance of work or other obligations under this Agreement until such time as any overdue amounts have been paid in full. If Customer and Company are in dispute with respect to a particular budgeted item or invoice (including without limitation reimbursable costs described in Section 3.2.d.), Company will proceed with the work in order to meet the schedule and Customer will reimburse Company as herein provided, but Customer may nevertheless bring the matter before a court of law, the Louisiana Public Service Commission and/or the FERC, whichever has jurisdiction, for resolution.

5.3. All costs and expenses to be reimbursed by or to be borne by Customer under this Agreement (including without limitation pursuant to Sections 2.2., 3.1., 3.2.c., 3.2.d., 3.2.f., 3.3., 4.4.,

4.5., 4.9., 4.11., and 5.1.) shall be actual costs and expenses reasonably incurred and properly documented by Company and consistent with the standards of this Agreement. All third-party costs shall be billed to Company on a pass-through basis without mark-up. Costs charged for time spent by Company personnel shall include only man-hours associated directly with the subject work and shall consist of only the base pay of such personnel allocated to such man-hours plus taxes and benefits directly associated with such base salary compensation. When requested by Customer, Company shall provide Customer with an accounting of such costs and supporting documentation therefor.

5.4 Company shall provide Customer a bill, monthly in arrears, showing the net costs to be paid by Customer to Company, or to be paid by Company to Customer, pursuant to Section 4.3. The owing Party shall pay all amounts shown on Company's bill within thirty (30) days after receipt of Company's statement. Company shall provide reasonable documentation supporting Company's statements. In the event that the owing Party fails to make payment as required by this Section 5.4, any unpaid amounts shall accrue interest from the due date thereof until the date paid at a per annum rate equal to the lesser of (i) the Chase Manhattan Bank's (New York) (or successor thereof) prime rate in effect on the date such amount became due, plus a margin of two percent (2%) per annum, or (ii) the highest rate allowed by applicable law, which accrued interest shall be paid at such time as any overdue amounts are paid. If Customer and Company are in dispute with respect to a particular amount billed pursuant to this Section 5.4, either Party may bring the matter before a court of law, the Louisiana Public Service Commission ("LPSC") and/or the FERC, whichever has jurisdiction, for resolution.

5.5. In the event adjustments to billing statements are required as a result of measurements made by inaccurate meters, the Parties shall use the corrected measurements described in Section 4.9. to compute the amounts due from or to Company for the energy delivered under this Agreement during the period of inaccuracy. If the total amount, as computed, due from a Party for the period of inaccuracy varies from the total amount due as previously computed, and the payment of the previously computed amount has been made, the difference in the amounts shall be paid to the Party entitled to it within thirty (30) days after the paying Party is notified of the recomputation.

ARTICLE VI. - FORCE MAJEURE

6.1. The term "Force Majeure" as used herein shall mean any act of God, labor disturbance, act of the public enemy, war, insurrection, riot, fire, storm or flood, explosion, breakage or accident to machinery or equipment, any curtailment, order, regulation or restriction imposed by governmental military or lawfully established civilian authorities, or any other cause beyond a Party's control. A Force Majeure event does not include an act of negligence or intentional wrongdoing. The Party unable to carry out an obligation imposed on it by this Agreement due to "Force Majeure" shall notify the other Party in writing or by telephone within a reasonable time after the occurrence of the cause relied on and provide all particulars of such occurrence.

6.2. A Party shall not be responsible for any non-performance under this Agreement (except for the obligation to make payments of money) to the extent due to "Force Majeure", whether occurring on Company's electric system, or any connecting electric system to the extent affecting Company's operations, or at Customer's Facility which renders Company or Customer, respectively, wholly or partially unable to perform an obligation imposed on it under this Agreement. Such Party shall be excused from whatever performance is affected only to the extent a "Force Majeure" situation exists and prevents such performance and such Party attempts in good faith and with reasonable diligence to alleviate such situation; provided, however, such Party shall not be required to take any action with respect to any labor disturbance that such Party in its sole discretion deems inadvisable.

ARTICLE VII - INDEMNITY

7.1. Customer agrees to fully indemnify and hold Company, its members, its shareholders, directors, officers, agents, representatives, employees, servants, its affiliated and associated companies, their respective shareholders and/or its assigns, harmless from and against any and all claims, demands, liability, losses, damage, costs or expenses (including attorneys' fees and other costs of defense), of any nature or kind whatsoever, including, but not limited to, claims, demands and/or liability for personal injury to (including death of) any person whomever (including payments and awards made to Customer's employees or others under any workers' compensation law or under any plan for employees' disability and death benefits) and for damage to any property whatsoever (including

the Customer Interconnection Facilities, the Facility, the System Upgrades and Company's Transmission System) arising out of or otherwise resulting from the use, ownership, maintenance, or operation of the Facility or the Customer Interconnection Facilities; provided however, that the provisions of this Section 7.1 shall not apply to the extent that any such personal injury or property damage is held to have been caused by the negligence or the willful misconduct of Company, its agents or employees.

7.2. Company agrees to fully indemnify and hold Customer, its members, shareholders, directors, officers, agents, representatives, employees, servants, its affiliated and associated companies, their respective shareholders and/or its assigns, harmless from and against any and all claims, demands, liability, losses, damage, costs or expenses (including attorneys' fees and other costs of defense), of any nature or kind whatsoever, including, but not limited to, claims, demands and/or liability for personal injury to (including death of) any person whomever (including payments and awards made to Company's employees or others under any workers' compensation law or under any plan for employees' disability and death benefits) and for damage to any property whatsoever (including the Customer Interconnection Facilities, the Facility, the System Upgrades and Company's Transmission System) arising out of or otherwise resulting from the use, ownership, maintenance, or operation of the System Upgrades and/or Company's Transmission System; provided, however, that the provisions of this Section 7.2 shall not apply to the extent such personal injury or property damage is held to have been caused by the negligence or the willful misconduct of Customer, its agents or employees.

7.3. Except to the extent: (i) expressly provided in Paragraph 4.6.b of this Agreement; or (ii) of the gross negligence or willful misconduct of a Party; neither Party shall be liable in contract, in tort (including negligence), or otherwise to the other Party, its agents, representatives, its affiliated and associated companies, and/or its assigns, for any incidental or consequential loss or damage whatsoever, including, but not limited to, loss of profits or revenue on work not performed, for loss of use of or under-utilization of the other Party's facilities, or loss of use of revenues or loss of anticipated profits, resulting from either Party's performance or non-performance of an obligation imposed on it by

this Agreement.

7.4. Each Party acknowledges and agrees that in no event shall any partner, shareholder, member, owner, officer, director, employee, or affiliate of either Party be personally liable to the other Party for any payments, obligations, of performance due under this Agreement, or any breach or failure of performance of either Party and the sole recourse for payment or performance of the obligations hereunder shall be against the Customer or Company and each of their respective assets and not against any other Person, except for such liability as expressly assumed by an assignee pursuant to an assignment of this Agreement in accordance with the terms hereof.

ARTICLE VIII - MISCELLANEOUS

8.1. Waiver. Any waiver at any time by either Party of its rights with respect to a default under this Agreement, or with respect to any other matters arising in connection with this Agreement, must be in writing and shall not be deemed a waiver with respect to any subsequent default of other matter.

8.2. Assignment. Neither Party shall voluntarily assign this Agreement, or any part thereof, without the written consent of the other Party, which consent shall not be unreasonably withheld, and any such assignment or delegation made without such written consent shall be null and void, except in connection with the sale or merger of a substantial portion of its properties (or in the case of Company, the Company's Transmission System) including the Interconnection Facilities which it owns, and in the case of Customer, to its Lenders in connection with financing of the Facility or to an Affiliate of Customer, in which case no consent shall be required. Notwithstanding any other provision of this Agreement to the contrary, Company acknowledges that this Agreement will be an integral part of Customer's financing of the Facility and that Customer may assign or transfer this Agreement or any part thereof or interest therein, to the Lender as security for Customer's performance of its obligations to the Lender. Company, at Customer's cost, agrees to consent to a collateral assignment of this Agreement for the benefit of the Lender, and provide, execute and deliver to Customer and the Lender such consent as Customer and the Lender may reasonably require as a condition of such assignment as prepared by Customer or the Lender at their cost. Company shall execute and deliver a consent

pursuant to which Company, among other things, (i) authorizes Customer to encumber in favor of the Lender all of its right, title and interest in this Agreement and the Project, including all sums of money payable to Customer pursuant to this Agreement, (ii) agrees to pay all sums of money payable to Customer pursuant to this Agreement directly into accounts designated by, and held by, for the benefit of, or in the name of, the Lender: and (iii) agrees not to terminate this Agreement without providing to the Lender prior written notice of the events or conditions prompting such notice and a reasonable opportunity to cure. Company shall also provide to the Lender, in connection with the execution of the financing documents for the Project, to the actual knowledge of the signatory to such certificate, without investigation, a certificate stating that: (i) this Agreement is in full force and effect and that neither Customer or Company is in default hereunder or thereunder, (ii) all representations made by Company in this Agreement are true and complete as of such date: and (iii) all conditions to be satisfied by Company on or prior to such date have been satisfied.

8.3. Governing Law. The validity, interpretation and performance of this Agreement and each of its provisions shall be governed by the applicable laws of the State of Louisiana without regard to the Conflicts of Law provisions.

8.4. Headings Not to Affect Meaning. The descriptive headings and the various Sections and Articles of this Interconnection Agreement have been inserted for convenience of reference only and shall in no way modify or restrict any of the terms and provisions hereof.

8.5. Amendments. This Interconnection Agreement may be amended by and only by a written instrument duly executed by each of the Parties hereto.

8.6. Standards. Company and Customer shall discharge any and all rights and obligations under this Interconnection Agreement in a prudent manner and in accordance with Good Utility Practice. Any exercise by Company of any right of approval, inspection or review under this Agreement shall not be unreasonably withhold or delayed.

8.7. Governmental Jurisdiction and Authorization.

a. This Agreement shall become effective when executed by both Parties and shall be subject to the acceptance for filing or approval, by the FERC. The Company shall use due diligence

to file this Agreement with the FERC and obtain its acceptance for filing or approval. In the event the FERC requires changes in this Agreement as a condition to its acceptance or, if applicable, approval of this Agreement, the Parties shall negotiate in good faith for a period of no less than thirty (30) days to effect any required amendments. If, at the end of such period, the Parties have not reached agreement on such amendment and either Party would be materially adversely affected by the required change, the adversely affected Party may terminate this Agreement, effective upon fifteen (15) days notice to the other Party. Company shall also use due diligence to seek and obtain any other governmental approval required by it to construct, own, operate and maintain the System Upgrades.

b. This Agreement is subject to present and future laws and orders, rules and regulations of various regulatory authorities having jurisdiction. Each Party expressly reserves, however, the right to appeal and otherwise contest any change ordered by a governmental agency or court having jurisdiction in the rights, terms and conditions specified in this Agreement.

8.8. Notices. Any notice, demand or request required or permitted to be given by either Party to the other and any instrument required or permitted to be tendered or delivered by either Party to the other may be so given, tendered or delivered, as the case may be, by depositing the same in any United States Post Office with postage prepaid, by certified or registered mail, addressed to the Party, or personally delivered to the Party or sent by facsimile transmission as follows, and will be effective upon receipt:

To Company:
Entergy Services, Inc.
639 Loyola Avenue
New Orleans, Louisiana 70113
Attention: Interconnection Arrangements Administrator
Fax: 504-576-6109

To Customer:
Calcasieu Power, LLC
c/o Dynegy Power Corp.
1000 Louisiana, Suite 5800
Houston, Texas 77002-5050
Attention: Vice President, Business Management
Fax: 713 / 767 - 8506

With copy to:
Calcasieu Power, LLC
c/o Dynegy Power Corp.
1000 Louisiana, Suite 5800
Houston, Texas 77002-5050

Attention: General Counsel
Fax: 713 / 767 - 8510

ARTICLE IX - INSURANCE

9.1. Without limiting any obligations or liabilities under this Agreement, each Party shall, at its own expense, provide and maintain or cause to be provided and maintained, in effect beginning upon the date of Customer's authorization to proceed to Company pursuant to Section 3.2.d. for the life of this Agreement, minimum insurance coverage (in any combination of primary and excess/umbrella and subject to commercially reasonable deductibles) written by one or more internationally reputable insurance companies authorized to do business in Louisiana, rated by AM Best or by Lloyds Companies reasonably acceptable to the other Party, such acceptance not to be unreasonably withheld, as follows:

a. Workers' Compensation Insurance in accordance with all applicable State, Federal, and Maritime laws, including Employer's Liability Insurance in the minimum amount of One Million Dollars ($1,000,000). This coverage shall only be required to be maintained to the extent Company and Customer, as applicable, have employees.

b. Comprehensive Automobile Liability Insurance for coverage of owned, non-owned and hired vehicles, trailers or semi-trailers licensed for travel on public roads, with a minimum combined single limit of One Million Dollars ($1,000,000) per occurrence for bodily injury, including death, and property damage.

c. Commercial General Liability Insurance, including contractual liability coverage for liabilities assumed under this Agreement, products/completed operations coverage, broad form property liability coverage, and personal injury coverage, with combined single limit of not less than One Million Dollars ($1,000,000) each occurrence and Two Million Dollars ($2,000,000) general aggregate and products aggregate.

d. Excess Public Liability Insurance over and above the Employer's Liability, Commercial General Liability and Comprehensive Automobile Liability Insurance coverage, with a minimum combined single limit of Twenty Million Dollars ($20,000,000) per occurrence/Twenty Million Dollars ($20,000,000) aggregate.

e. All Risk Property Damage Insurance on the Facility and the Customer Interconnection Facilities with respect to Customer, and on the System Upgrades with respect to Company, for each Party's own risk of loss, including coverage for electrical injury under an electrical apparatus assumption clause and Boiler and Machinery Insurance (with respect to the Facility, upon commercial operation) which shall include mechanical breakdown, including, but not limited to, any pressure vessels, air tanks, boilers, machinery, turbine generators, transformers, pressure piping, and heating and air conditioning equipment.

9.2 The Commercial General Liability Insurance, Comprehensive Automobile Liability Insurance, and Excess Public Liability Insurance policies shall name the other Party, its Affiliates and their respective directors, officers, agents, servants and employees ("Other Party Group") as additional insured.

9.3 All policies required under this Article IX shall contain provisions whereby: (i) the insurers waive all rights of subrogation in accordance with the provisions of this Agreement against the Other Party Group: and (ii) provide thirty (30) days' advance written notice to the Other Party Group prior to each respective anniversary date, any notice of policy cancellation or any material change in coverage or condition, with the exception of ten (10) days' advance written notice for non-payment of premiums.

9.4 The Commercial General Liability Insurance, Comprehensive Automobile Liability Insurance and Excess Public Liability Insurance policies shall be primary, shall apply to such extent without consideration for other policies separately carried, and shall assure that each insured is provided coverage as though a separate policy had been issued to each, except the insurer's liability shall not be increased beyond the amount for which the insurer would have been liable had only one insured been covered. Each Party shall be responsible for its respective industry standard deductibles or retentions.

9.5 The Commercial General Liability Insurance, Comprehensive Automobile Liability Insurance and Excess Public Liability Insurance policies, if written on a claims made basis, shall (i) have a retroactive date no later than the date of this Agreement and (ii) be maintained in full force and effect for two (2) years after termination of this Agreement, which coverage may be in the form of tail

coverage or extended reporting period coverage if agreed by the Parties.

9.6 The requirements contained herein as to the types and limits of all insurance to be maintained by the Parties are not intended to and shall not in any manner, limit or qualify the liabilities and obligations assumed by the Parties under this Agreement.

9.7 Within ten (10) days following execution of this Agreement, and as soon as practicable after the end of each fiscal year or at the renewal of the insurance policy and in any event within ninety (90) days thereafter, each Party shall provide certification of all insurance required in this Agreement, executed by each insurer or by an authorized representative of each insurer.

9.8 The Parties agree to report to each other in writing as soon as practical all accidents or occurrences resulting in injuries to any person, including death, and any property damage arising out of this Agreement.

9.9. Prior to the date the Facility is first operated in parallel with Company's electric system and annually thereafter during the term of this Agreement, Customer shall furnish Certificates of Insurance to Company evidencing the coverages required under this Article IX, including specifically setting forth the requirements of Sections 9.1., 9.2., and 9.3. above, and, if applicable Section 9.5. In addition, prior to the date the Facility is first operated in parallel with Company's electric system and annually thereafter during the term of this Agreement, Company shall furnish Certificates of Insurance to Customer evidencing the coverages required under this Article IX.

ARTICLE X - GENERAL PROVISIONS

10.1. Company shall not be liable for any costs or damages due to the inability of Customer or its designated representatives to obtain any licenses or permits required by any authority having jurisdiction over such matters.

10.2 Nothing herein shall obligate Customer to transmit electric power generated by the Facility over Company's Transmission System.

10.3. This Agreement, including all Appendices hereto, constitutes the entire agreement between the Parties hereto with reference to the subject matter hereof and no change or modification as to any of the provisions hereof shall be binding on either Party unless reduced to writing and

approved by the authorized officer or agent of the Customer and the President or a Vice President of the Company. Notwithstanding the foregoing, nothing contained herein shall be construed as affecting in any way the right of the Company or Customer to unilaterally make application to the FERC for a change in rates, terms or conditions of service under Sections 205 and 206 of the Federal Power Act and pursuant to FERC's Rules and Regulations promulgated thereunder. The terms and conditions of this Agreement and every Appendix referred to herein shall be amended, as agreed to by the Parties, to comply with changes or alterations made necessary by a applicable order of any governmental regulatory authority, or any court, having jurisdiction hereof. This Agreement includes the following appendices, which are attached to and incorporated herein:

Appendix A - Interconnection Facilities

Appendix B - System Upgrades

Appendix C - Metering Facilities

Appendix D – Independent Contractor List

Appendix E – Company Non-Utility Generator Interconnection Requirements Standard

[Remainder Of Page Left Blank – Next Page Is Signature Page]

IN WITNESS WHEREOF, the Parties have caused this Agreement to be duly executed by their duly authorized officers on the day and year first above written.

WITNESSES:

CALCASIEU POWER, LLC

_____

By: _____

_____

Name: _____

Title: _____

WITNESSES:

ENTERGY GULF STATES, INC.

_____

By: _____

_____

Name: _____

Title: _____

Signature Page
to
Interconnection and Operating Agreement
by and between
Entergy Gulf States, Inc.
and
Calcasieu Power, LLC
Dated _____, 2000

APPENDIX A
INTERCONNECTION FACILITIES

This Appendix A is a part of the Interconnection and Operating Agreement between Calcasieu Power, LLC ("Customer") and Entergy Gulf States, Inc. ("Company").

Name and Location of Interconnection Facility

The Company-owned substation hereinafter known as "Calcasieu Switching Station", is located in Calcasieu Parish, Louisiana in Section 25, T-10-S, R-10-W on and just south of State Hwy 1133.

Facilities to be Furnished by Customer to Company

Customer will construct, in accordance with Company Non-Utility Generator Interconnection Requirements Standard, a three-breaker ring bus at Calcasieu Switching Station.

Customer will acquire approximately 3960 feet of new, 150-foot width transmission line right-of-way so as to provide a continuous right-of-way from Calcasieu Switching Station to the existing Company transmission line. The right-of-way will be obtained using an approved instrument per Section 3.1. of this Agreement.

Customer will construct approximately 3960 feet of 230 kV, double circuit transmission line capable of transmitting 640 MVA of electric power, to and from the existing Entergy Pecan Grove-Boudoin 230 kV transmission line to the Calcasieu Switching Station in accordance with Section 3.2.b. of this Agreement. Company will be responsible for energizing all facilities in accordance with the project schedule.

Customer and Company hereby acknowledge and agree that Customer will install the above mentioned interconnection facilities and will transfer all facilities on the Company side of the Point of Interconnection to Company at no cost.

Facilities to be Furnished by Company

Provide labor and material to cut the Company's Boudoin-Pecan Grove 230 kV transmission line, strut the adjacent Company-owned transmission structures, and deadend the conductor spans on Customer's transmission structures.

Point of Interconnection

The point of interconnection will be at the 230 disconnect switches of the Customer-owned generator-step-up transformer(s).

Cost Responsibility

Customer and Company hereby acknowledge and agree that the cost listed below is only an estimate and that Customer hereby agrees to and shall reimburse Company for all costs incurred by Company in accordance with the Agreement, including any applicable taxes associated with the Company's construction of Interconnection Facilities, or Company's acquisition of any Interconnection Facilities provided to Company by Customer as set forth in this Appendix A. The cost of Company Interconnection Facilities is estimated to be $27,000, which amount includes an estimate of applicable taxes and the tax effects.

APPENDIX B
SYSTEM UPGRADES

This Appendix B is a part of the Interconnection and Operating Agreement between Calcasieu Power, LLC ("Customer") and Entergy Gulf States, Inc. ("Company").

Description of System Upgrades

Company will install additional breaker-failure, transfer-trip relaying on the Boudoin terminal of the Boudoin-Calcasieu Switching Station transmission line and on the Pecan Grove terminal of the Pecan Grove-Calcasieu Switching Station.

Customer and Company hereby acknowledge and agree that Company will purchase and Customer will install all breaker-failure, transfer-trip relaying at its Calcasieu Switching Station. Company will purchase and install the breaker-failure, transfer-trip relaying at its Boudoin and at its Pecan Grove Substations.

Customer will purchase all fiber optic conductor required to connect the three terminals mentioned above. Customer will install fiber optic conductor on the new transmission line.

Customer will provide fiber optic cable to Company and Company will install fiber optic conductor on its transmission facilities.

Cost Responsibility

Customer and Company hereby acknowledge and agree that the cost listed below is only an estimate and that Customer hereby agrees to and shall reimburse Company for all costs incurred by Company in accordance with the Agreement, including any applicable taxes associated with the Company's construction of System Upgrades. The cost of System Upgrades is estimated to be $59,000, which amount includes an estimate of applicable taxes and tax effects.

APPENDIX C
METERING FACILITIES

This Appendix C is a part of the Interconnection and Operating Agreement between Calcasieu Power, LLC ("Customer") and Entergy Gulf States, Inc. ("Company").

Metering facilities will be purchased by Customer, installed by Customer in the Calcasieu Switching Station, and ownership transferred to Company at no cost.

Facilities purchased by and installed by Customer, and transferred to Company, will include three, 230 kV bus PT's and two sets of three revenue accurate, 230 kV metering CT's.

Company will provide the revenue meter.

Cost Responsibility

Customer and Company hereby acknowledge and agree that the cost listed below is only an estimate and that Customer hereby agrees to and shall reimburse Company for all costs incurred by Company in accordance with the Agreement, including any applicable taxes associated with the Company's provision of Metering Facilities as set forth in this Appendix C. The cost of Metering Facilities is estimated to be $20,100, which amount includes an estimate of applicable taxes and tax effects.

APPENDIX D
INDEPENDENT CONTRACTOR LIST

This Appendix D is a part of the Interconnection and Operating Agreement between Calcasieu Power, LLC ("Customer") and Entergy Gulf States, Inc. ("Company").

Pursuant to the provisions of Article III., 3.2.c., following is list of Independent Contractors:

- Irby Construction
- Red Simpson
- Highlines Construction
- Entergy Operations Services, Inc.

APPENDIX E
Company Non-Utility Generator Interconnection Requirements Standard

This Appendix E is a part of the Interconnection and Operating Agreement between Calcasieu Power, LLC ("Customer") and Entergy Gulf States, Inc. ("Company").

The Company's Non-Utility Generator Interconnection Requirements Standard is attached hereto and hereby made a part of the Agreement.



ENGINEERING & CONSTRUCTION DESIGN STANDARD SYSTEM PROTECTION & CONTROL

Title: **Non-Utility Generator Interconnection Requirements Standard**	Standard No.: **PM3901, Rev. 02**	Effective Date: **15-Jan-2000**
Prepared By: David B. McNeill Engineering & Construction	Approved By: P. M. Smith, Manager E & C Services	

1.0 Introduction

1.1 Purpose

The purpose of this standard is to provide guidance to those responsible for the application and requirements of interconnection and parallel operation with non-utility generation.

1.2 Scope

This standard applies to all non-utility generators (Qualified Cogenerators and Exempt Wholesale Generators) with facilities that allow interconnection with Entergy transmission (69kV and above) lines. The "anti-islanding" requirements of section 3.1.2.12 & 3.1.2.13 are also applicable to non-utility generators connected to the distribution system. For other interconnection requirements associated with non-utility generators connected to the Entergy system at 34.5kV and below see Distribution Standard No. DR07-01-0895.

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

2.0 Definitions

Automatic Synchronization – A process utilized by generation operators to interconnect a generator unit to an energized electrical system for parallel operation using prime mover and excitation controls that automatically synchronize the generator output voltage to that of the energized electrical system. The generator output breakers automatically close when synchronization of the generator is achieved. Entergy Transmission Planning will specify the acceptable synchronizing phase angle range.

Auxiliary Load – The electrical load at a generation facility that is utilized to directly support those systems and equipment required for the production of electrical energy.

Exempt Wholesale Generator (EWG). An entity that owns and/or operates a physical facility that is dedicated exclusively to the generation and delivery of electrical energy to the wholesale electric energy market.

Facilities Study – Study performed, after the interconnection study, to develop more detailed cost estimates of the upgrades identified by the Interconnection Study. It may also provide alternate or more cost-effective solutions to the problems identified in the Interconnection Study. The deliverable of this study is a "Scope Document" that may include but is not limited to the following:

1. The work scope of the project,
   a. Supervisory Control and Data Acquisition (SCADA) requirements
   b. Metering requirements
   c. Relay modifications on Entergy's system
   d. Equipment replacement
   e. Re-conductoring of transmission lines
2. A list of assumptions used in developing the scope.
3. An estimated construction schedule.
4. An estimated cost of the project.

Forced Outage - Any interruption caused by mechanical or electrical equipment failure that either fully or partially curtails the electrical output of the generation facility.

Gross Generation – For generation facilities with auxiliary and non-auxiliary loads, gross generation is the total power produced less the auxiliary loads.

Interconnection and Operating Agreement – The contract required to be executed between Entergy and a NUG for interconnection of the NUG to the Entergy Transmission System.
Interconnection Facilities - All facilities and costs required to interconnect and receive/deliver power from/to the NUG's facility to/from Entergy's system including, but not limited to, connection, transmission, distribution, engineering, administration, transformation, switching, metering, protective relaying, communications, and safety equipment.

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

Interconnection facilities shall include any additions and/or modifications to Entergy's system, deemed by Entergy to be necessary.

Interconnection Study – The engineering analyses required to be performed by Entergy prior to interconnection of any generation to the Entergy Transmission System. The study is comprised of two parts, "Feasibility Study" and "Detailed Interconnection Study". The Feasibility study portion provides a cursory assessment of transmission constraints expected for the customer-specified site, capacity, expected in-service date, and voltage level. Based upon the results, the customer may proceed with a Detailed Interconnection Study. The Detailed Interconnection portion of the study includes three separate analyses: 1) Load Flow Analysis, 2) Short Circuit/Breaker Rating Analysis, and 3) Transient Stability Analysis.

Net Energy Output - The real electrical energy delivered to the transmission system, over a specified period of time, through the point of interconnection, measured in Megawatt-hours. That is typically the net generator energy output less the energy used at the station and the step-up transformation real electrical energy losses.

Net Generation – For generation facilities with auxiliary and non-auxiliary loads, net generation is the total power produced less the auxiliary and non-auxiliary loads.

Non-Auxiliary Load – The electrical load at a generation facility that is utilized for processes that do not directly support the systems and equipment required for the production of electrical energy.

Non-Utility Generator (NUG) - A transmission system customer who owns and operates a Qualified Cogeneration Facility, qualifying under Section 201 of PURPA (1978) or an (EWG) Exempt Wholesale Generator (see below). A NUG may also be referred to as an Independent Power Producer (IPP).

~~[Operating Agreement A legal contract specifying the responsibilities and authorities of Entergy and the interconnected NUG, and the operational terms and conditions that will apply to the interconnection.]~~

Qualifying Facility (QF) – One of the two types of Non-Utility Generators. A Qualifying Cogeneration facility produces and uses electrical and thermal energy. As a qualifying facility, these non-utility generators are eligible to either sell energy on the wholesale electric energy market or enter into an "avoided cost only" contract that requires the utility to buy excess electrical power from the QF at the utilities' avoided cost for electrical energy.

Semi-Automatic Synchronization – A process utilized by generation operators to interconnect a generator unit to an energized electrical system for parallel operation using manual control of prime mover and generator excitation to synchronize the generator output voltage to that of the energized electrical system. Using a synchroscope, the generator output breakers are manually closed by operations personnel when synchronization is achieved. The breaker "Close" control circuit is supervised by a synchronization relay to ensure the breaker is not closed "out-of-synch".
System Protection Facilities - The equipment required to protect: (1) The Entergy system and its customers from faults occurring at the NUG facility, and (2) the NUG facility from faults occurring on the Entergy system or on the system of others to which it is directly or indirectly connected.

Transmission Customer – Any entity with load and/or generation facilities that purchases transmission service for the purpose of providing or receiving electrical energy.

3.0 Details

3.1 General

3.1.1 Overall Requirements

To ensure that Entergy Transmission and its operating Regions are able to meet their obligations and responsibilities to their customers and to the general public, NUG's shall be permitted to interconnect and operate their generators in parallel with

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

other Entergy system generation only after all of the following conditions are met and maintained throughout the duration of the interconnection:

1. The NUG shall be responsible for the design, installation, operation and maintenance of all equipment and facilities installed or to be installed on the NUG's side of the point of interconnection as specified by the parties involved. Such design shall meet the latest standards of IEEE, NEMA, ANSI, NEC and other national codes pertaining to the design and construction of electrical substations. ~~[Interconnection and operation of NUG facilities shall be in accordance with the Entergy Transmission Business policy.]~~ The NUG design shall also comply with all existing (or amended) manuals, standards, and guidelines of the North American Electric Reliability Council and the Southeastern Electric Reliability Council, or the requirements of any successor agency charged with similar responsibilities and jurisdiction related to the protection, operation and reliability of the interconnected electric transmission grid within the Entergy control area. The equipment selected shall be capable of continuous parallel operation with the Entergy system. The facility shall be subject to the requirements of all governmental agencies asserting jurisdiction and shall comply with all applicable codes and ordinances. The NUG shall give its warranty of expertise in the use of electric power and energy. It is the responsibility of the NUG to ensure that its facilities do not cause any reduction in the quality of service provided to other transmission customers.

2. The NUG must submit copies of the design and specifications pertinent to the electrical interconnection for the proposed facility, including all generator data and protective system design data to Entergy for review prior to connection to the Entergy Transmission system. Such review shall not be construed as confirmation nor endorsement of the design or as any warranty of safety, durability or reliability of the equipment specified.

3. It is the responsibility of the NUG to contact Entergy Transmission prior to the design phase of the proposed project to identify any special requirements for the proposed transmission system interconnection.
4. Entergy will specify, provide, install, and maintain all necessary new or additional facilities located on the Entergy side of the point of interconnection. In addition, Entergy will specify, install, own, and maintain all necessary metering equipment required for interconnection with the NUG. The NUG shall be responsible for the cost of such facilities in accordance with the rules of the applicable regulatory body.

5. The NUG shall be responsible for all routine maintenance of its generating equipment and protective devices. Complete maintenance records of the protective devices essential to the interconnection must be maintained by the NUG and be available for Entergy's review. In addition, the NUG shall provide any changes to the generator model data to Entergy.

6. Interconnected NUG facilities must have reactive power capacity adequate to allow the generator to operate within the power factor range of 95% (lagging) to 97% (leading) at full rated power as measured at the point of interconnection with normal auxiliary and non-auxiliary loads in service. NUG facilities shall maintain transmission system voltage schedules as mandated by Entergy Transmission. Additionally, Qualifying Cogenerators shall be responsible for supplying reactive power as required by their non-auxiliary load.

7. The NUG shall be responsible for all costs associated with the design, specification and installation of NUG facility upgrades required by future changes to the transmission system ~~[or to the Entergy Transmission Interconnection requirements]~~.

8. Prior to interconnection of the NUG facilities with the Entergy transmission system, the NUG must submit to Entergy, the following executed documents:

   1) an Interconnection Agreement, and
   2) an Operating Agreement.

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

9. Entergy shall retain the right but not the obligation to immediately sever the interconnection with the NUG if, in the sole judgment of Entergy Transmission personnel, separation is necessary to protect its facilities, interconnected transmission system, customers, employees, or the general public. Entergy shall not be liable for any damage, which may result from such disconnection.

3.1.2 Protection/Interface Requirements

1. The NUG shall provide a circuit breaker(s), as specified by the applicable IEEE Standards, between its generator(s) and the Entergy Transmission system. The breaker(s) must be capable of interrupting the maximum fault current available from either the NUG's generator(s) or the Entergy system, and be capable of withstanding twice the normal system voltage. The values for fault currents available from the Entergy system will be supplied by Entergy provided the NUG has submitted sufficient data concerning its proposed system.
2. All short-circuit interrupting devices must be equipped with an Entergy approved backup power source (e.g. station battery and charger). Such approval shall not be construed as confirmation or endorsement of the design or as any warranty of safety, durability or reliability of the equipment specified.

3. A visible disconnecting device with load interrupting capability shall be located between the NUG's generator output(s) and the Entergy system. The NUG's disconnecting device shall be acceptable to Entergy for this purpose or Entergy will install a disconnecting device at the NUG's expense. Entergy reserves the right to open the disconnecting device with or without prior notice to the NUG for any of the following reasons:

   a. System emergency
   b. Interference of the NUG's generator(s) with service to other Entergy customers or with operation of the Entergy system
   c. Existence of a hazardous condition
   d. Lack of scheduled maintenance or lack of maintenance records as revealed by inspection of the NUG's protective devices.

4. The generator protective relaying scheme must provide protective functions consistent with industry standards for transmission system connected generation equipment. For each interconnection request, Entergy Transmission planning personnel will perform or cause to be performed dynamic transmission system studies of specific system faults identified as potential threats to system stability. These studies shall be performed for the purpose of determining the minimum acceptable clearing times required to maintain system stability for the identified, detectable faults. The protective relaying equipment installed must satisfy the minimum acceptable clearing requirements as determined by Entergy Transmission Planning. Additional relaying schemes may be required to ensure stability of the Entergy system if critical clearing time requirements cannot be achieved with normal relaying schemes (e. g.: trip one generator for any fault on a specific line, regardless of fault clearing time, if loss of that line causes instability). The NUG shall be responsible for all costs associated with transmission system upgrades required by the interconnection of the NUG to ensure stability of the transmission system. System upgrades required for transmission system stability as a result of the interconnection of a NUG facility shall be designed, specified and installed by Entergy Transmission.

5. Interconnection protective devices on the NUG's system must be consistent with Entergy Transmission protection practices. Settings of interconnection protective devices on the NUG's system will be specified by the NUG to coordinate with area transmission system protective relaying, and shall be reviewed by Entergy personnel prior to interconnection. Such review shall not be construed as confirmation or endorsement of the design or as any warranty of safety, durability or reliability of the equipment specified. The NUG shall be solely responsible for implementation of protective device settings on its system. When modifications to the area transmission system or NUG system require changes to NUG protective relay settings, the NUG will be responsible for specifying the revised settings, obtaining Entergy Transmission review of the revised settings, and implementing the required protective relay setting revisions. Entergy review of relay settings shall not be construed as confirmation or endorsement of the design or as any warranty of safety, durability or reliability of the equipment specified.

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

6. The NUG shall be responsible for providing protective devices meeting all applicable ANSI standards, including IEEE C37.90 and Entergy specified protection guidelines and standards at the time of interconnection. The installed protective devices must be capable of protecting the NUG generating equipment against faults and disturbances on the Entergy system, and on its own system. The NUG shall be responsible for the design, installation and operation of the generator and associated interconnection protective relaying equipment in accordance with Entergy Transmission Planning requirements and NERC Planning Standards.

7. As required by Entergy Transmission, the NUG shall be responsible for providing the detailed electrical equipment characteristics necessary to assess the impact of the generator on the transmission system available fault current. Entergy shall perform or cause to be performed a detailed study of the available transmission system fault currents. Where installation of the NUG increases the available fault current on the area transmission system above the interrupt rating of installed protective devices, the NUG shall be responsible for all costs associated with the design, specification and installation of the required upgrades. At the discretion of Entergy Transmission, the NUG may be required to design and install fault current limiting equipment.

8. The NUG must install a step-up transformer between its generator(s) and the interconnection point(s) with Entergy to isolate the zero sequence circuit of the NUG from the zero sequence circuit of the Entergy transmission system. This is to provide maximum operating flexibility for and to minimize possible adverse effects on Entergy's other Transmission system customers. The step-up transformer's winding configuration shall be specified by Entergy Transmission. Typically at NUG interconnections, step-up transformers shall be installed with a solidly grounded wye-winding configuration on the transmission side and a delta-winding configuration on the generator side. This configuration ensures a sensible level of ground fault current for detecting ground faults on the adjacent transmission system. At the discretion of Entergy Transmission, a current limiting reactor may be required in the neutral of the wye winding. If required, the NUG shall be responsible for the design, specification and installation of the neutral reactor.

9. Entergy reserves the right, without obligation, to observe, perform or cause to be performed tests and/or inspections of any of the NUG's protective equipment essential to the interconnection including, but not limited to, relays, circuit breakers, protective devices and related equipment. Inspection may include simulated test tripping of the NUG's interconnection breakers by the protective relays.

10. Settings of all protective devices (e.g., current transformers, potential transformers, relays, reclosers, fuses.) on the Entergy system will be specified and implemented by Entergy.

11. Any changes to Entergy protective relay equipment deemed necessary by Entergy Transmission due to the interconnection of the NUG's generator(s) shall be made by Entergy at the NUG's expense.

12. The NUG shall be solely responsible for provisions to disconnect its generation automatically when a disturbance results in the NUG's generation being isolated from other system generation (islanding). Entergy Transmission system anti-islanding schemes typically include the installation of equipment to generate a direct transfer trip signal to the NUG from remote stations. The NUG shall be responsible for the installation of anti-islanding equipment capable of automatically disconnecting the generator from the transmission system for any single or double contingency that might cause the NUG to be "islanded" from the transmission system. The anti-islanding equipment design and specification shall be reviewed by Entergy Transmission prior to installation. Entergy review of the anti-islanding equipment design shall not be construed as confirmation or endorsement of the design or as any warranty of safety, durability or reliability of the equipment specified.

13. The NUG shall be responsible for all costs associated with the design, specification and installation of "islanding" protection equipment. If anti-islanding equipment must be installed on the Entergy side of the point of interconnection, Entergy shall install such equipment at the NUG's cost.

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

14. The NUG shall be responsible for providing protective relay equipment capable of sensing an "out of step" condition and automatically separating the generator from the transmission system.

15. Unless reviewed by the Transmission Operator, for the purpose of implementing the "Black-start" procedure, interconnected NUG facilities shall have "deadline" sensing supervision/interlocks on interconnection breakers and disconnects that preclude the connecting of the generator to a de-energized transmission system. Such review shall not be construed as confirmation or endorsement of the design or as any warranty of safety, durability or reliability of the equipment specified.

16. NUG facilities shall NOT employ automatic reclosing equipment in generator output or interconnection circuit breakers or disconnect devices. Following automatic actuation of an interconnection interrupting device that separates the NUG from the transmission system, the NUG shall NOT attempt to re-establish parallel operation with the transmission system until authorized by Entergy System Operations Center (SOC) personnel.

17. NERC Planning Criteria require the interconnected transmission system frequency be maintained between 59.95 Hz and 60.05 Hz. In the event of an under-frequency system disturbance, the transmission system is designed to automatically actuate a three-tiered load shed program. The three load sheds occur at 59.3, 59.0 & 58.7 Hz respectively. To ensure "ride-through" capability of the transmission system, interconnected Exempt Wholesale Generators and Qualified Facilities supplying power to the transmission system shall implement an under-frequency relay setpoint no greater than 58.2 Hz. Qualified Facilities receiving power from the transmission system may implement a higher under-frequency relay setpoint if necessary to protect their facilities and equipment.

18. As determined by Entergy Transmission, protective relay equipment may be required at the primary voltage level to detect ground and phase faults that occur on the Entergy system (especially if a primary, delta step-up transformer configuration is specified). These devices, to be owned by Entergy Transmission, will operate to isolate the NUG facility from the Entergy system and eliminate any ground current contribution from the NUG's generator. If required, all costs associated with the design, specification, installation and maintenance of high-side ground fault relay equipment shall be the responsibility of the NUG.

3.1.3 Synchronizing Requirements

The NUG shall be solely responsible for proper synchronization and connection of its electrical system to the Entergy transmission system. The NUG shall own and maintain the synchronizing circuit breaker(s). The NUG shall be responsible for the design, specification and all costs associated with the installation of synchronizing equipment, which is to be reviewed by Entergy Transmission. The NUG shall provide an automatic or semiautomatic synchronizing scheme to prevent the closing of its circuit breaker when the two electrical systems are out of synchronism. This scheme will also prevent the NUG from closing its circuit breaker when Entergy's circuit is de-energized. The NUG-furnished synchronizing scheme shall consist of the following (or a functionally equivalent scheme acceptable to Entergy) as a minimum:

1. Synchronizing Switch - To supervise the circuit breaker closing circuit and activate the synchroscope and the synchronizing relay as described below. This switch must be closed (ON) before the circuit breaker can be closed.

2. Synchroscope - This meter provides a visual indication of the relative synchronism between the two electrical systems. The meter is activated by the synchronizing switch and is only operational prior to the actual closing of the circuit breaker.

3. Synchronizing Relay (e.g., Basler Automatic Synchronizer BE1-25A or equivalent)-This relay may be used to automatically connect a generator or to supervise the circuit breaker closing circuit to only allow manual closing when the generator is synchronized to the electrical system.

3.1.4 Revenue Metering Requirements

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

1. For customers classified as Exempt Wholesale Generators (EWG), interconnection requires bi-directional meters be installed at the point of interconnection (Attachment 'A') in order to measure the facility's net export/import quantities. For those cases where metering transformers are not installed at the point of interconnection, the meters must be installed to compensate for losses to the point of interconnection. For installations with two or more points of interconnection, the bi-directional meters must be totaled to provide net export/import quantities. Alternative metering configurations will be considered on a case-by-case basis. Meters installed at interconnections to EWG facilities must be capable of measuring and telemetering the following data to the Entergy System Operations Center (SOC) through a remote terminal unit as specified in section 3.1.5.2:

   a. Instantaneous MW & MVAR flow from EWG to Transmission System
   b. Instantaneous MW & MVAR flow from Transmission System to EWG
   c. Integrated MW-Hours from EWG to Transmission System (hourly)
   d. Integrated MW-Hours from Transmission System to EWG (hourly)
   e. Integrated MVAR-Hours from EWG to Transmission System (hourly)
   f. Integrated MVAR-Hours from Transmission System to EWG (hourly)

2. Qualified Cogeneration facilities may sell electrical energy equivalent to the facility's generator output at the time of the sale. For these customers, metering equipment must be capable of accurately measuring and telemetering net energy flows across the interconnection(s) as well as gross generation for the entire range of possible operating scenarios. Therefore, in order to measure the facility's gross generation and net export/import quantities, interconnection of a QF requires bi-directional meters to be installed at the point of interconnection and single-direction meters at the generator output(s). For those facilities at which metering transformers are not installed at the point of interconnection, the meters must be installed to compensate for losses up to the point of interconnection. For installations with two or more points of interconnection, the bi-directional meters must be totaled to provide net export/import quantities. For facilities with two or more generators, the meters must be installed to provide individual unit telemetry as well as gross generation quantities. One or more sets of metering may be required to measure gross generation, depending upon the configuration of the QF facilities. See Attachment "B". Meters installed at interconnections to QF facilities, must be capable of measuring and telemetering the following data to the Entergy System Operations Center (SOC) through a remote terminal unit as specified in section 3.1.5.2:

   a. Instantaneous MW & MVAR flow from customer to Transmission System
   b. Instantaneous MW & MVAR flow from Transmission System to customer
   c. Integrated MW-Hours from customer to Transmission System (hourly)
   d. Integrated MVAR-Hours from customer to Transmission System (hourly)
   e. Integrated MW-Hours from Transmission System to customer (hourly)
   f. Integrated MVAR-Hours from Transmission System to customer (hourly)

3. Meters installed at generator(s) of QF facilities, must be capable of providing, including telemetry to Entergy's SOC, the following quantities:

   a. Instantaneous MW & MVAR flow from customer generation (each generator or gross generation, dependent upon configuration)
   b. Integrated MW-Hours from customer generation (hourly)- (gross generation, totaled if required)
   c. Integrated MVAR-Hours from customer generation (hourly)- (gross generation, totaled if required)

4. For QF customers who have entered into an "avoided cost only" energy sales contract with Entergy (no wholesale or third party energy sales permitted), interconnection requires bi-directional metering be installed at the point of interconnection only, in order to measure the facility's net export/import quantities. For those cases where metering transformers are not installed at the point of interconnection, the meters must be installed to compensate for losses to the point of interconnection. For installations with two or more points of interconnection, the bi-directional meters

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

must be totaled to provide net export/import quantities. Meters installed at NUG facilities must be capable of providing, including telemetry to Entergy's SOC, the following quantities:

a. Instantaneous MW &MVAR flow from customer to Transmission System
b. Instantaneous MW & MVAR flow from Transmission System to customer
c. Integrated MW-Hours from customer to Transmission System (hourly)
d. Integrated MVAR-Hours from customer to Transmission System (hourly)
e. Integrated MW-Hours from Transmission System to customer (hourly)
f. Integrated MVAR-Hours from Transmission System to customer (hourly)

5. For multi-party interconnections, separate bi-directional metering must be provided for each non-Entergy party at the mutual interconnection point. Additional metering shall be installed as specified in sections 3.1.4.1 – 3.1.4.4.

6. The NUG shall be responsible for all costs associated with the design, specification, calibration and installation of meter equipment required for interconnection to the Entergy transmission system. In addition, the NUG shall be responsible for all ongoing maintenance costs specified in the applicable approved tariffs. In the event of a modification that increases the generation capacity of the NUG facility, the NUG shall also be responsible for all costs associated with metering equipment upgrades necessary to obtain the required metering accuracy over the range of power expected to be exchanged.

7. For NUG's with multiple interconnection points, each individual point of interconnection shall have a separate revenue quality, bi-directional meter. Each interconnection point shall have a buy/sell agreement, either separately or combined (totaled meters), to be specified by Entergy Transmission, dependent upon the configuration of the NUG's facilities and interconnections.

8. For all NUG facilities, Entergy shall specify, own and maintain the revenue metering equipment, including meters and current transformers. All revenue meters shall be of "metering accuracy" class meeting the requirements of ANSI C12.1. Unless otherwise agreed upon, voltage transformers shall be owned and maintained by Entergy. A dedicated winding of a customer-owned voltage transformer, as specified by Entergy, may be acceptable. Unless otherwise agreed upon, Entergy shall purchase, install, and test the instrument transformers and control cables. If the instrument transformers are to be located at the NUG's facility, agreements may be reached to allow the NUG to purchase and/or install the instrument transformers and/or cables, as per Entergy specifications. Entergy shall purchase the metering panels, program the meters, terminate all cabling, and test the meter installation. The NUG shall be responsible for all costs associated with metering equipment upgrades necessary to obtain the required metering accuracy over the range of power expected to be exchanged (special high-accuracy current transformers may be required, for example).

9. The NUG shall provide routine maintenance access to metering equipment for Entergy personnel as requested by Entergy Transmission. The NUG shall be responsible for providing, at the NUG's expense, any special equipment and/or training necessary to access metering equipment inside of its facilities.

3.1.5 Communication Requirements

1. NUG's connected to the Entergy transmission system shall maintain operating communications between Entergy's system dispatcher or his designated representative and NUG operations personnel via standard voice and facsimile capabilities utilizing the public telephone network, provided at the NUG's expense. The operational communications shall include, but not be limited to, system paralleling or separation, scheduled and unscheduled shutdowns, equipment clearances and hourly and daily load schedules and reports. At the discretion of Entergy Transmission a dedicated ring-down telephone circuit may be required. Additionally, a standard voice telephone line (or extension) is required to the meter panel(s) for dial-up modem access to meter data (modem included in meter panel).

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

2. A dual ported GE Harris D20 RTU (Remote Terminal Unit) or Entergy approved equivalent data collection and transfer equipment shall be installed and maintained at the NUG's expense to gather accumulated and instantaneous data to be telemetered to specified Entergy facilities. As determined by Entergy Transmission some NUG facilities may require more than one RTU. Two dedicated 4-wire, full-duplex, data quality communications circuits, operating at 1200 baud (or other baud rates as specified by Entergy) and Entergy approved telephone switching equipment shall be installed and maintained at the NUG's expense in order to communicate with the host computer systems at Entergy's applicable Transmission Operations Center (TOC) and Entergy's Systems Operations Center (SOC). The communication protocol for the links will be specified by Entergy Transmission. Unless otherwise agreed, the RTU(s) shall be purchased, configured and tested by Entergy and installed, maintained and owned by the NUG.

3. The following quantities shall be telemetered directly to the Entergy Systems Operation Center (SOC) and the applicable Entergy Transmission Operations center for NUGs with a rated generator output of 1 MW or more (or as permitted by applicable regulations):

   a. At interconnection point(s): Metering data as specified in sect. 3.1.4.
   b. At generator(s): Metering data as specified in sect. 3.1.4
   c. Transmission system voltage at the point of interconnection(s).
   d. Customer output breaker status (open/closed).
   e. Motor-operated disconnect status (open/closed).
   f. High voltage transmission bus voltage

4. This data will be input into the SOC host computer systems to assist in the performance of various system operational functions, such as billing, load forecasting, generation scheduling and maintenance, contingency analysis, and training. Telemetry equipment shall be designed, specified and installed to accommodate an energy imbalance settlement period of 10 minutes and a voltage control period of 3 sec. In addition, the NUG shall provide the applicable Entergy Transmission Operations Center with open/close control of the visible disconnect device specified in section 3.1.2.3.

3.2 Operating Agreement

The NUG should be advised that prior to placing his facility in service, an Operating Agreement must be written, and then signed by officers of both parties. This agreement may be part of the contract for service, or may be a separate agreement. This agreement will ensure that there is no misunderstanding regarding the authority or responsibilities of the parties involved.

4.0 References

1. IEEE Guide for Protective Relaying of Utility-Consumer Interconnection C37.95 (Latest revision)
2. Operating Company Agreements
3. Distribution System Cogeneration Standard No. DR07-01
4. Entergy Point To Point Transmission Service Tariff
5. Customer-Owned Substations Standard No. ML0500
6. Entergy Transmission Business Policy

5.0 Responsibilities

5.1 Interpretation

Interpretation of this standard is the responsibility of the Entergy Transmission Engineering & Construction Department, System Protection. Questions should be directed to the author.

5.2 Deviation

The Manager, Transmission Design-System Protection and Control, is responsible for assuring that all requirements are followed in accordance with this standard. Deviations from this standard may be made only with the consent of the Manager, Transmission Design-System Protection and Control or an approved agent thereof. Any deviation granted shall be reported

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines

Copyright Unpublished Work Entergy Services, Inc
All Rights Reserved

to the Director of Engineering & Construction for consideration for inclusion in the standard. No other employee is granted independent authority to grant deviations.

6.0 Attachments

1. EWG Metering Configuration
2. QF Metering Configuration

7.0 Revisions

Index of Revisions

Revision Number	Revised Sections/Subsections	Revised Date
1	11Title & Sections: 1.2; 2.0; 3.1.1.1, 3, 4, 5, 6, 7, 8; 3.1.2.7; 3.1.4.1, 2, 3; 3.1.5.2; 4.4	17-Sept-96
2	Titles, Sections1.2,, 2.0, 3.1, 3.1.2, 3.1.3, 3.1.4, 3.1.5, 3.2, 5.0; Revised and reformatted	15-Jan-2000

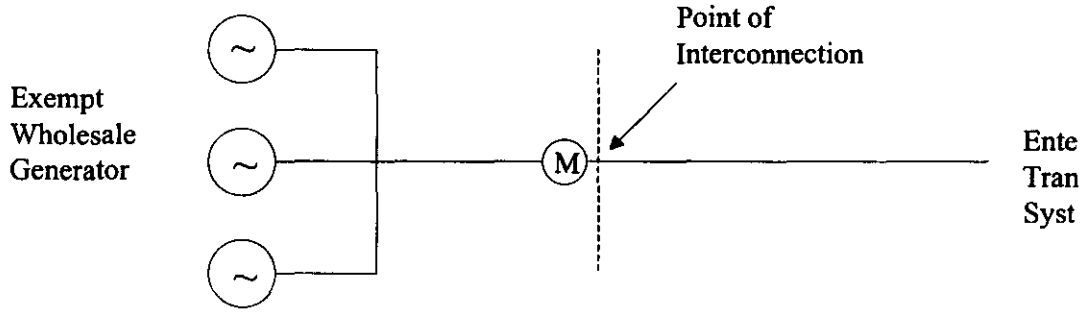
8.0 Acknowledgments

None.

This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

Attachment A
Exempt Wholesale Generator
Interconnection Meter Requirements

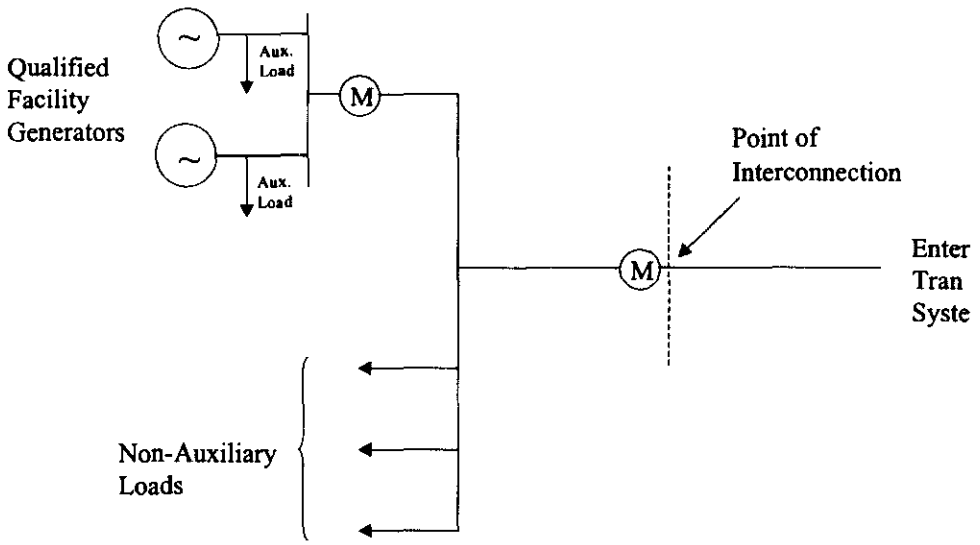


This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

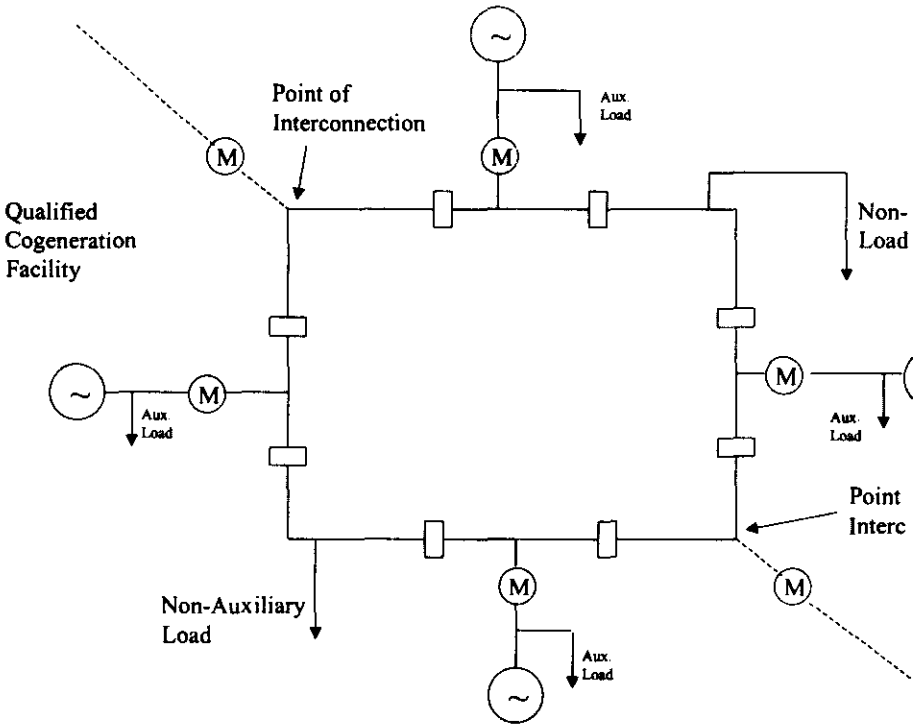
Copyright Unpublished Work Entergy Services, Inc.
All Rights Reserved

Attachment B
Qualified Co-generation Facility
Interconnection Meter Requirements

Multi-Generator Facility w/ Separate Load Bus



Ring-Bus, Multi-Generator, Multi-Interconnection Facility



This document is the property of Entergy Services, Inc. and contains confidential and proprietary information owned by Entergy Services, Inc. Any copying, use, or disclosure of this information without the written permission of Entergy Services, Inc. is strictly prohibited. This material is protected under trade secret and unfair competition laws and the expression of the information contained herein is protected under Federal copyright laws. Violations thereof may result in criminal penalties and fines.

Copyright Unpublished Work Entergy Services, Inc
All Rights Reserved